



**INSURANCE AND PENSIONS
COMMISSION**

SHORT-TERM INSURANCE REPORT

3RD Quarter ended 30 September 2019

enquiry@ipec.co.zw



+263 242 443358/59/61

+263 242 443322

+263772154281-4

+263 242 443304



160 Rhodesville Ave, Greendale,
Harare, Zimbabwe



www.ipec.co.zw



Disclaimer

This report (including any enclosures and attachments) has been prepared exclusively for information purposes to the industry stakeholders. Unless we provide express prior written consent, no part of this report should be reproduced, redistributed or communicated to third parties. IPEC does not accept any liability if this report is used for any alternative purposes from which it is intended.

Table of Contents

Disclaimer	2
List of Acronyms and Abbreviations.....	5
List of Figures	6
List of Tables.....	6
Executive Summary.....	7
1. Introduction- IPEC at a Glance.....	8
1.1. Terms of Reference	8
1.2. Economic Overview	8
1.3. Highlights of the Commission's Regulatory Activities	14
2. Architecture of the Short-term Insurance Industry.....	17
SECTION A.....	19
3. Short-Term Insurance Companies	19
3.1. Performance in Terms of Business Written.....	20
3.2. Capitalisation.....	22
3.3. Asset Quality.....	23
3.4. Reinsurance.....	23
3.5. Actuarial Matters	24
3.6. Earnings.....	24
3.7. Liquidity.....	24
3.8. Market Share for Short-term Insurers.....	25
SECTION B	27
4. Reinsurance Companies.....	27
4.1. Performance in Terms of Business Written.....	28
4.2. Capitalisation.....	29
4.3. Asset Quality.....	30
4.4. Actuarial Matters	31
4.5. Retrocession	31
4.6. Earnings.....	31
4.7. Liquidity.....	32
4.8. Market Share for Reinsurers.....	32
SECTION C	35
5. Insurance Brokers.....	35

5.1. Business Written.....	36
5.2. Capitalisation.....	37
5.3. Asset Quality.....	39
5.4. Earnings.....	40
SECTION D	41
6. Reinsurance Brokers.....	41
6.1 Business Written.....	42
6.2 Earnings for Reinsurance Brokers.....	42
6.3 Capitalisation.....	42
6.4 Asset Quality.....	43
6.5 Market Share for Reinsurance Brokers	43
Appendix 1A	44
Appendix 1B.....	45
Appendix 1C.....	46
Appendix 2A	47
Appendix 2B.....	48
Appendix 2C.....	49
Appendix 3A	50
Appendix 3B.....	51
Appendix 4A	52
Appendix 4B.....	53
Appendix 5	54

List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	-	Gross Premium Written
IBNR	-	Incurred But Not Reported
IPEC/Commission	-	Insurance and Pensions Commission
NEP	-	Net Earned Premium
NPW	-	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	-	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	-	Unearned Premium Reserve

List of Figures

Figure 1 : Currency Journey Map.....	9
Figure 2 : Trends in the Exchange Rates.....	11
Figure 3 : Performance of the Zimbabwe Stock Exchange	13
Figure 4 : Trends in the Money Market	14
Figure 5 : Trend in Written Business by Short-term Insurers	20
Figure 6 : Market Share for Short-term Insurers in terms of GPW and NPW.....	25
Figure 7 : Market Share for Short-term Insurers in terms of Total Assets.....	26
Figure 8 : Trend in Written Business by Short-term Reinsurers	28
Figure 9 : Market Share for Short-term Reinsurers in terms of GPW and NPW.....	33
Figure 10 : Market Share for Short-term Reinsurers in Terms of Total Assets	34
Figure 11 : Premium Written broken down by Insurance Broker.....	36
Figure 12 : Asset Composition for Insurance Brokers.....	39

List of Tables

Table 1 : US\$ Exchange Rates 1 January to 8 November 2019	10
Table 2 : Inflation Statistics for the 10 months ended 31 October 2019	121
Table 3 : Architecture of the Short-term Insurance Industry	227
Table 4 : General Short-term Insurance Industry Statistics	228
Table 5 : Short-term Insurers' Gross Premium Written By Class of Business.....	21
Table 6 : Reported Capital Positions for Short-term Insurers	29
Table 7 : Reinsurers' Gross Premium Written by Class of Business.....	29
Table 8 : Reported Capital Positions for Short-term Reinsurers	30
Table 9 : Indicators of Business Written for Insurance Brokers.....	37
Table 10 : Capitalisation for Insurance Brokers.....	38
Table 11 : Indicators of Business Written for Reinsurance Brokers.....	42
Table 12 : Capital Levels for Reinsurance Brokers	43
Table 13 : Market Share for Reinsurance Brokers in terms of Premium Written	43

Executive Summary

This report provides an analysis of the performance of the short-term insurance industry, key economic indicators, investment markets and highlights of the Commission's regulatory activities for the nine months ended 30 September 2019. Total Gross Premium Written (GPW) by short-term insurers amounted to \$629.97 million for the nine months ended 30 September 2019, reflecting a 217.45% increase from \$198.45 million reported for the comparative period in 2018. The total business written by short-term reinsurers increased from \$86.54 million for the nine months ended 30 September 2018 to \$294.32 million for the period under review.

Total assets for short-term insurers increased from \$684.15 million reported as at 30 June 2019 to \$1.20 billion as at 30 September 2019. All eighteen (18) insurers reported capital positions which were above \$2.5 million as at 30 September 2019. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. Investments in prescribed assets decreased by 25.63% from \$28.48 million as at 30 June 2019 to \$22.67 million as at 30 September 2019. In the period under review, none of eighteen (18) short-term insurers were compliant with the minimum prescribed asset ratio of 10%.

Short-term reinsurers had an asset base of \$734.72 million as at 30 September 2019, reflecting a 64.49% increase from the \$446.44 million reported as at 30 June 2019. As at 30 September 2019, all the registered short-term reinsurers reported capital positions that were above the minimum capital requirement of \$5 million.

As at 30 September 2019, the majority of the insurance and reinsurance brokers had regulatory capital which was in excess of the required minimum threshold of \$100,000.

1. Introduction- IPEC at a Glance

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines IPEC's various activities consistent with its statutory mandate for the nine months ended 30 September 2019 as well as the state of the short term insurance industry for the same period.

1.1. Terms of Reference

The activities of the Commission are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*]
- Pension and Provident Funds Act [*Chapter 24:09*]
- Insurance Act [*Chapter 24:07*]
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*]
- Finance Act [*Chapter 23:04*]
- Public Entities and Corporate Governance Act [*Chapter 10:31*]
- Public Finance Management Act [*Chapter 22:19*]
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

1.2. Economic Overview

The key fundamentals affecting the economy for the nine months ended 30 September 2019 are highlighted below:

Currency Changes

Currency reforms were introduced through Statutory Instruments 132, 133 and 142 of 2019 as shown in Figure 1 below.

Figure 1: Currency Journey Map



The introduction of the mono-currency directly affected in-force forex-denominated insurance contracts as well as fixed income investments such as bonds and money market.

Exchange Rate Developments January to November 2019

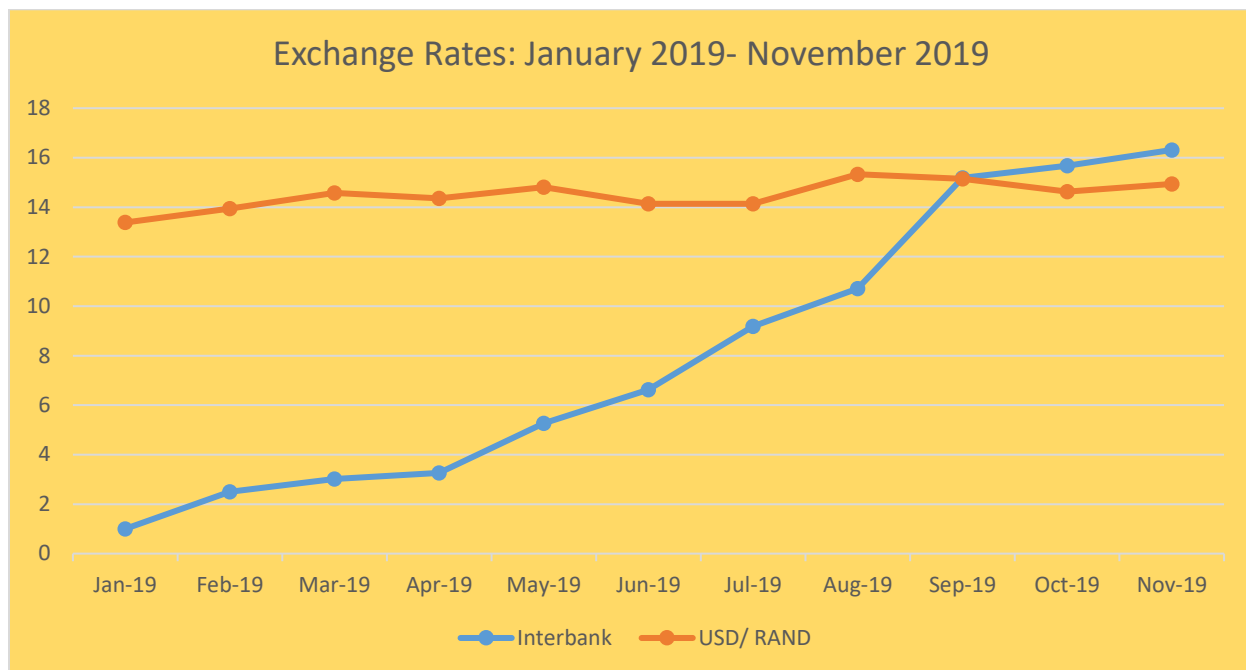
The country experienced deterioration of the local currency against other major currencies, particularly the United States dollar during the period February to November 2019 as shown in Table 1 and Figure 2, below.

Table 1: US\$ Exchange rates 1 January 2019 to 08 November 2019

Month	Interbank Market- (RBZ)*	USD/South African Rand **
January 2019	1	13.38
February 2019	2.5005	13.94
March 2019	3.0120	14.57
April 2019	3.2614	14.35
May 2019	5.2635	14.81
June 2019	6.6220	14.14
July 2019	9.1856	14.14
August 2019	10.71	15.33
September 2019	15.19	15.14
October 2019	15.67	14.63
November 2019	16.3115	14.94

Key:*Source: Reserve Bank of Zimbabwe

Figure 2: Trends in the Exchange Rate



***Source: The Reserve Bank of Zimbabwe

The movements in the exchange rate largely influenced pricing models for basic goods and services which continue to be multi-tiered depending on whether a customer is paying in hard cash or electronic money. The Reserve Bank's planned new-cash injection into the economy is likely to introduce stability in both the exchange and inflation rates going forward.

Trends in Inflation

Intervention measures by the monetary authorities appear to be producing desirable outcomes since the month –on-month inflation figures are now falling below 20% as at the end of September 2019 as shown in Table 2, below.

Table 2: Inflation Statistics for the 10 months ended 31 October 2019

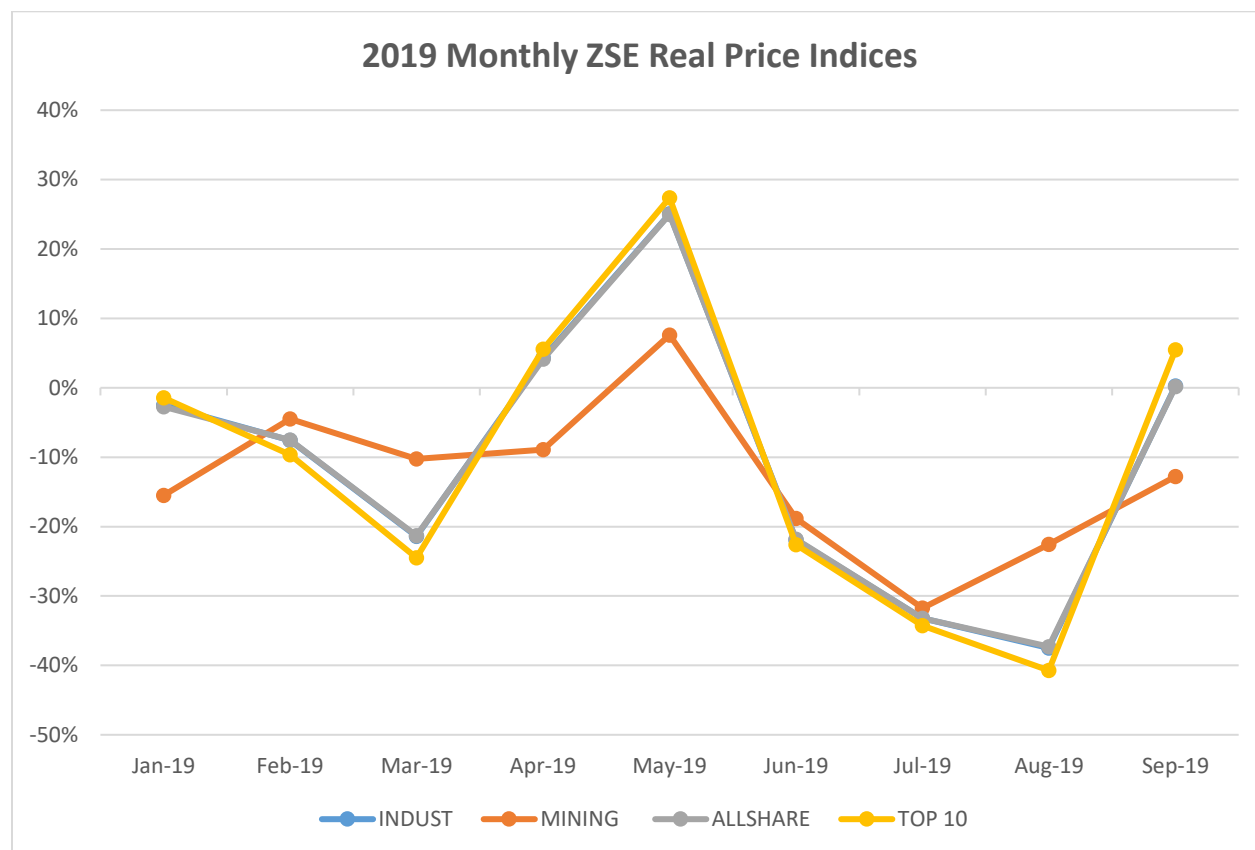
Month	Month-on-Month(overall) inflation Rate
January 2019	11%
February 2019	2%
March 2019	4%
April 2019	6%
May 2019	13%
June 2019	29%
July 2019	21%
August 2019	20%
September 2019	18%
October 2019	16.44%

Source: Reserve Bank of Zimbabwe

Trends in the Performance of Zimbabwe Stock Exchange

The period January to September 2019 has witnessed negative real returns on all counters as shown in Figure 3, below.

Figure 3: Performance of Zimbabwe Stock Exchange

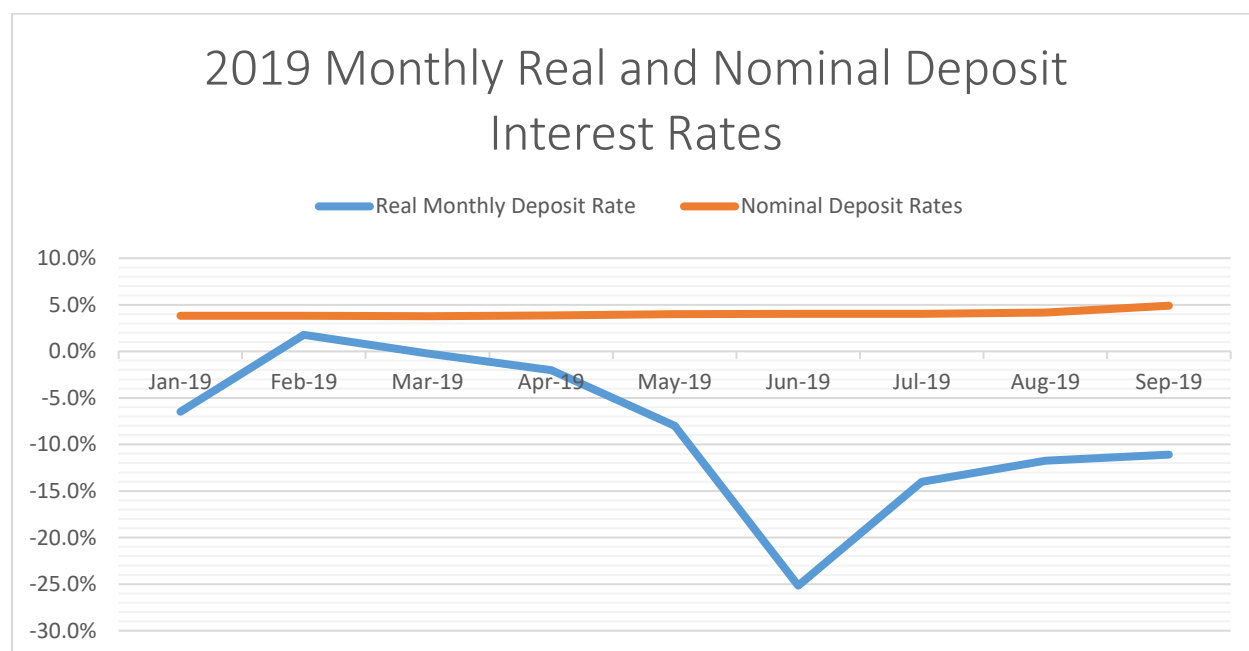


Whilst listed equities are generally a hedge against inflation, the value of shares has not changed to sufficiently cover for inflation.

Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit rates continued to be flat for the first seven months of the year. However, beginning August 2019, the market has witnessed an improvement in the real deposit rates probably due to the regulatory interventions by the Reserve Bank of Zimbabwe including the sharp increase of minimum lending rates to 50% from 10-15% previously making interest rates more attractive. Figure 4 below shows trends in the money market asset class.

Figure 4: Trends in the Money Market



Trends in Real Estate Market:

The value of property portfolio is increasing in nominal terms in line with developments in inflation. Rental yields are also reportedly depressed on account of the recent inflation developments and low occupancy levels.

1.3. Highlights of the Commission's Regulatory Activities

In pursuit of its mandate, the Commission undertook various initiatives aimed at regulating, supervising and developing the insurance industry in Zimbabwe. During the last nine months, the following activities and initiatives were undertaken by the Commission:

Complaints Resolution Report

The Commission received 86 complaints against short-term insurers during the nine months ended 30 September 2019, of which 48 were resolved.

The main bone of contention was the application of the average condition caused by under insurance of assets. Policyholders were advised that it is their

responsibility to ensure that their assets are adequately insured at all times, while insurers are encouraged to always advise their customers to adequately insure their assets.

Another major issue was deduction of insurance premiums from tobacco sales, for farmers who did not sign up for insurance. The matter was resolved and the farmers were ultimately reimbursed.

In addition, complainants cited delays in settlement of claims by some insurers and the unfair treatment on USD-denominated policies written at the beginning of 2019 but were affected by SI 142 of June 2019.

Financial Soundness Initiatives-Zimbabwe Integrated Capital and Solvency Programme.

The Commission is spearheading the development of an integrated capital and solvency programme. The objective of the programme, which was launched in February 2019, is to develop a Risk-Based Capital regulatory framework in line with international standards, e.g. Solvency II in UK and SAM in South Africa.

The African Actuarial Consultants (AAC) were appointed project consultants and they are working with the Insurance and Pensions Commission in developing the framework. The first qualitative survey (Gap Analysis) was carried out successfully and feedback on the survey results was given to the industry on the 31st October 2019. At the same workshop, a Quantitative Impact Study (QIS) was launched and the industry is expected to respond to the questionnaire by end of November 2019.

Implementation of International Financial Reporting Standard (IFRS) 17

IFRS 17 is an International Financial Reporting Standard that was issued by the International Accounting Standards Board in May 2017. It will replace IFRS 4 on accounting for insurance contracts and has an effective date of 1 January 2021.

The Commission will be spearheading the awareness programmes for the insurance industry in readiness for implementation of IFRS 17 in January 2020.

AML/CFT Issues

IPEC is a designated competent supervisory authority in terms of the Money Laundering and Proceeds of Crime Act [Chapter 9:24]. A National Risk Assessment for all sectors was conducted. All insurance companies are expected to comply with AML/CFT issues in the interim by:

- Familiarising with provisions of the Money Laundering and Proceeds of Crime Act, Regulations on Freezing of Terrorist Assets – S.I. 76 of 2017, and S.I. 58 of 2019, recent amendments to the Deeds Act on Beneficial Ownership and provisions of the recently enacted Companies and Other Business Entities Act;
- Conduct institutional risk assessment on money laundering and terrorism financing;
- Develop measures to deal with the identified risk; and
- Compliance with AML/CFT legal framework.

Registration of New Companies

In the period under review, one insurance broker, First Link Insurance Brokers was registered by the Commission.

2. Architecture of the Short-term Insurance Industry

There were six hundred and ninety-five (692) registered entities/persons in the short-term insurance industry as at 30 September 2019. The architecture of the industry is as shown in Table 3 below:

Table 3: Architecture of the Short-term Insurance Industry

Type of Institution	Number of Registered Entities/Persons as at....			
	31-Dec-18	31-Mar-19	30-Jun-19	30-Sep-19
Insurance Companies*	20	18	18	18
Microinsurers	2	2	2	1
Reinsurance Companies**	8	8	8	8
Insurance Brokers	32	31	31	31
Reinsurance Brokers	7	7	7	7
Loss Assessors	35	36	36	36
Corporate Agents	122	122	131	131
Sole Agents	447	530	460	460
Total	673	754	693	692

* Two insurers namely FBC Insurance Company and Alliance Insurance Company are composite insurers, however the figures in this report pertain to their short -term business only.

**Five reinsurers namely Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company, Grand Reinsurance Company and PTA Reinsurance Company (Zep Re) are composite reinsurers who also write life business. However, the figures in this report pertain to their short term business only.

The table 4 below provides a summary of general industry statistics pertaining to staffing levels, number of policies, fraud, business composition and spread of the short term insurance industry. The number of reported fraudulent claims stood at 224 amounting to \$1.35 million in the period under review.

Table 4

General industry statistics	Short term insurers	Short term reinsurers	Insurance brokers	Reinsurance brokers
Number of Staff	754	113	291	29
Number of Executives	100	32	55	17
Number of Policies	636,226	21,317	62,610	643
Number of Branches	53	14	41	5
Reported fraud cases	224	N/A	N/A	N/A
Reported fraud amount (\$)	1,349,620.50	N/A	N/A	N/A
Business Spread: Within- Zimbabwe	N/A	86%	N/A	97%
Outside Zimbabwe	N/A	14%	N/A	3%
Business Composition: Facultative	N/A	61%	N/A	48%
Treaty	N/A	40%	N/A	52%

SECTION A

3. Short-Term Insurance Companies

Please refer to Appendix 1A-C for detailed statistics for each of the short-term insurers.

3.1. Performance in Terms of Business Written

Total Gross Premium Written (GPW) by short-term insurers amounted to \$629.97 million, reflecting a 217.45% increase from \$198.45 million reported for the comparative period in 2018. Figure 1 below shows the trend in volume of the business generated during the period ending 30 September by short-term insurers since 2015:

Figure 5: Trend in Written Business

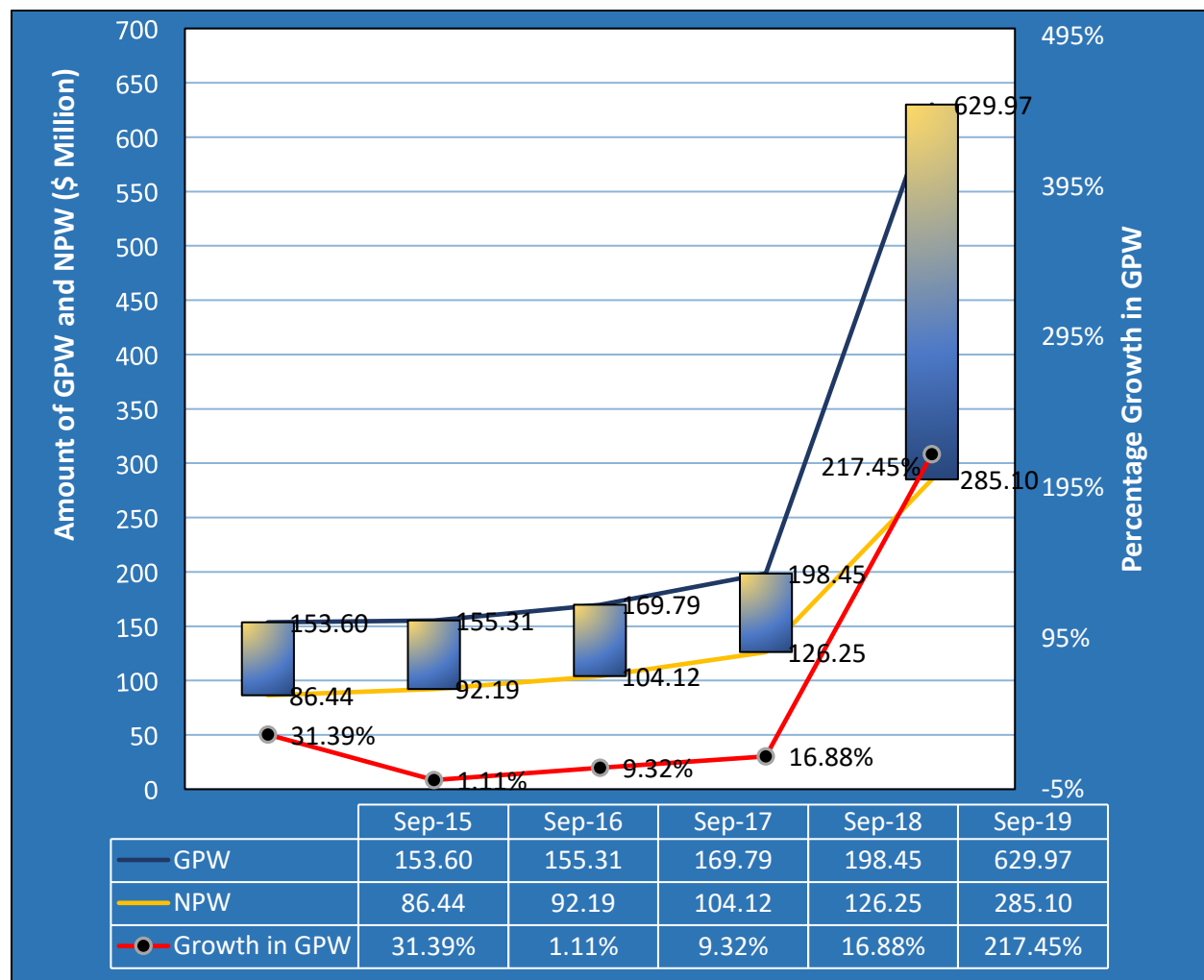


Table 5 below shows the percentage growth in GPW for different classes of business:

Table 5: Short-Term Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30-Sep-18	30-Sep-19	
Aviation	1,594,900	314,576	-80.28%
Bonds/Guarantee	11,494,809	38,356,200	233.68%
Engineering	12,934,224	58,211,278	350.06%
Farming	2,428,680	4,279,045	76.19%
Fire	35,028,690	136,662,047	290.14%
Hail	58,734	468,187	697.13%
Hire Purchase	2,822,082	6,621,441	134.63%
Marine	4,123,245	13,103,075	217.79%
Miscellaneous Accident	14,359,804	58,999,503	310.87%
Motor	94,130,027	269,204,594	185.99%
Personal Accident	15,527,081	35,181,216	126.58%
Liability	3,943,239	8,570,015	117.33%
Total	198,445,515	629,971,177	217.45%

Motor, fire and miscellaneous accident insurance classes were the largest sources of business in terms of GPW as shown in table 2 above. These three business classes accounted for a total of 73.79% of total GPW during the nine months ended 30 September 2019.

3.2. Capitalisation

All eighteen (18) insurers reported capital positions which were above \$2.5 million as at 30 September 2019. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. The capital positions reported by short-term insurers for the nine months ended 30 September 2019 are shown in table 6 below:

Table 6: Reported Capital Positions for Short-term Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	31-Dec-18	31-Mar-19	30-Jun-19	30-Sep-19
1. Alliance Insurance Company	8,853,684	8,496,390	5,681,725	80,062,064
2. Allied Insurance Company	2,005,075	4,327,516	13,142,369	31,265,683
3. C.B.Z Insurance Company	7,676,261	7,910,179	15,368,797	28,792,538
4. Cell Insurance Company	6,739,024	16,336,382	28,190,232	23,102,895
5. Champions Insurance Company	2,286,084	2,443,677	2,073,396	15,307,126
6. Clarion Insurance Company	1,456,980	1,751,410	5,646,721	5,900,649
7. Credit Insurance Zimbabwe	4,383,392	4,165,214	14,122,117	13,588,176
8. Econet Insurance Company	6,079,461	31,431,993	38,411,319	41,607,373
9. Evolution Insurance Company	4,953,522	10,936,187	11,183,626	11,791,243
10. ECGC	14,234,779	15,229,820	14,238,149	16,157,777
11. FBC Insurance Company	7,511,667	6,400,741	17,161,738	20,886,809
12. Hamilton Insurance Company	4,650,389	5,040,304	23,703,108	26,290,129
13. Nicoz Diamond Insurance Company	16,391,923	19,355,842	32,689,427	61,957,517
14. Old Mutual Insurance Company	49,636,915	48,268,521	84,772,878	131,976,522
15. Quality Insurance Company	3,841,000	3,541,000	6,093,000	21,131,000
16. Safel Insurance Company	5,124,983	5,027,814	5,667,287	87,054,298
17. Sanctuary Insurance Company	5,904,661	6,091,330	5,316,644	4,612,730
18. Zimnat Lion Insurance Company	14,865,556	16,633,778	20,477,107	27,024,137

Key:

	The insurer reported a capital position that was above the requirement of \$2.5 million.
	The insurer reported a capital position which was below \$2.5 million.

3.3. Asset Quality

Total assets for short-term insurers increased from \$684.15 million reported as at 30 June 2019 to \$1.20 billion reported as at 30 September 2019. This is mainly due to increases in fixed assets, equities, premium receivables and cash and cash equivalents.

Fixed assets are the largest asset class accounting for 27.52% of total assets, followed by premium receivables that contributed 21.64% of the cumulative assets. Insurers' are therefore exposed to the risk of financial loss associated with premium receivables as they constitute a significant proportion of total assets due to credit default risk.

Investments in prescribed assets decreased by 25.63% from \$28.48 million as at 30 June 2019 to \$ 22.67 million as at 30 September 2019. In the period under review, none of the eighteen (18) short-term insurers were compliant with the minimum prescribed asset ratio of 10%. Appendix 1C shows other indicators of asset quality.

3.4. Reinsurance

The industry's average retention ratio declined from 63.62% for the nine months ended 30 September 2018 to 45.26% for the quarter under review. This indicates a general reduction in risk appetite of insurers in the market hence increased uptake of reinsurance. Retention ratios for individual insurers ranged from 12.52% to 100%.

The average reinsurance creditors to reinsurance premium ratio was 43.36% as at 30 September 2019, compared to 25.51% reported as at 30 September 2018. (See Appendix 1C for more indicators).

3.5. Actuarial Matters

The short-term insurance industry reported a 99.40% increase in total technical liabilities from \$141.36 million as at 30 June 2019 to \$281.87 million as at 30 September 2019. The average liquid assets to total technical reserves ratio for the period under review was 104.29% as compared to 129.02% for the previous comparative period.

However, some insurers reported ratios which were significantly below 100%. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

3.6. Earnings

The short-term insurers reported total profit after tax for the nine months ended 30 September 2019 of \$197.81 million, which was 1396.29% increase from \$13.22 million reported in the comparative period in 2018. This windfall in profits is due to currency reforms mentioned in Section 1.2.

There was a slight increase in the combined ratio for the short-term insurers from 95.14% for the nine months ended 30 September 2018 to 96.15% for the period under review. This is due to slight increases in incurred losses and expenses for the insurers.

The industry's average return on assets (ROA) and return on equity (ROE) were 28.51% and 52.55% respectively for the period under review. (For more performance indicators on profitability refer to Appendix 1C under earnings).

3.7. Liquidity

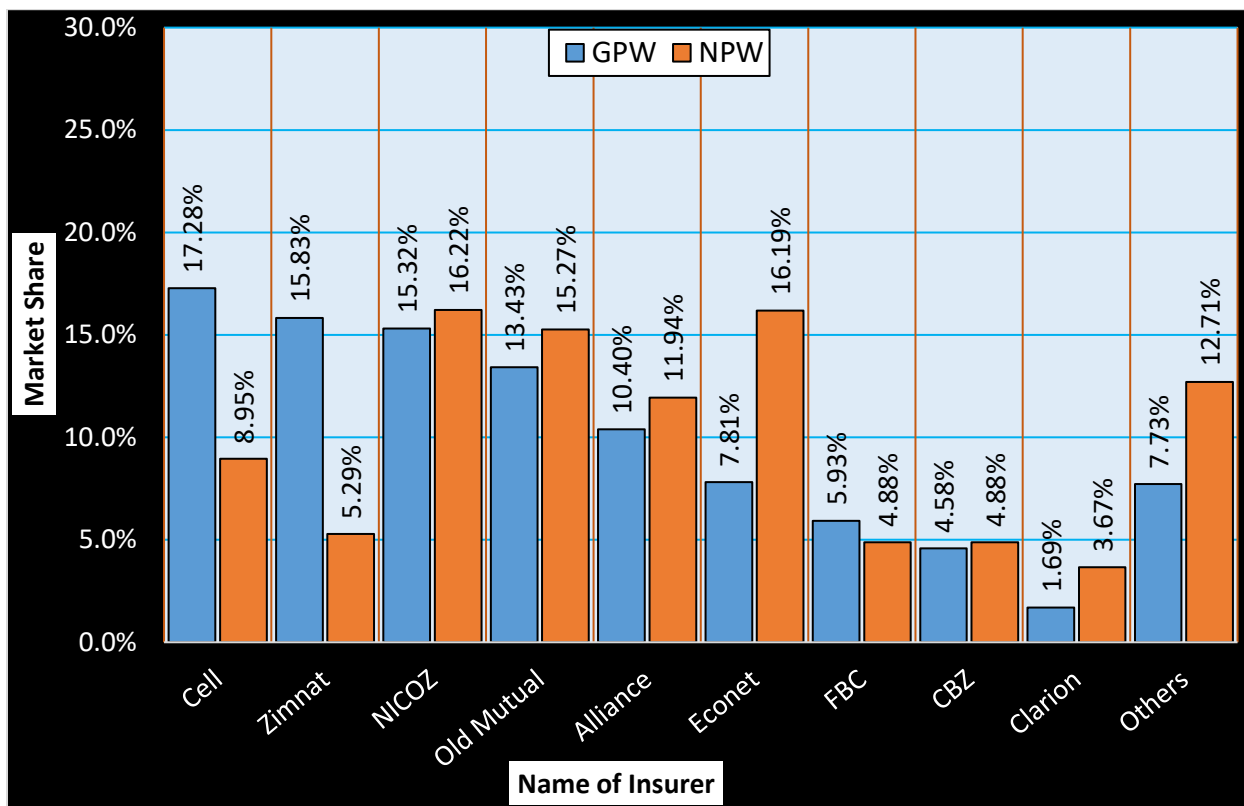
Total cash and near cash assets in the form of money market and short-term prescribed assets increased from \$146.16 million as at 30 June 2019 to \$197.46 million as at 30 September 2019. The acid test ratio for individual insurers as at 30 September 2019 ranged from 7.18% to 1,194.92% as shown in Appendix 1C.

3.8. Market Share for Short-term Insurers

Cell insurance, Zimnat Lion and Nicoz Diamond were the market leaders in terms of GPW with a combined market share of 48.43% for the nine months ended 30 September 2019.

Figure 6 below shows market share in terms of GPW and NPW for all insurers:

Figure 6: Market Share for Short-term Insurers in Terms of GPW and NPW

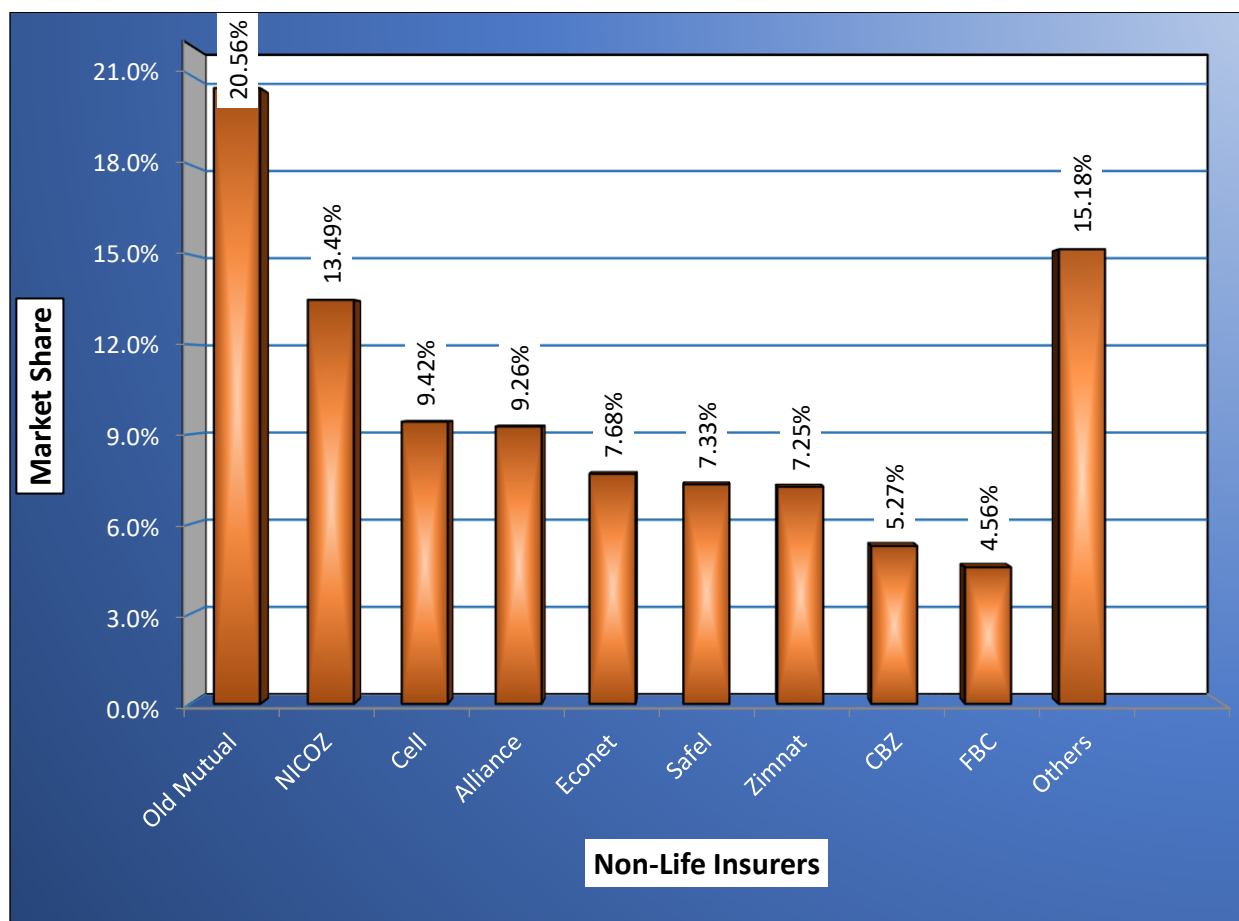


*Others comprises of Evolution, Champions, ECGC, Credit Insurance, Safel, Hamilton, Allied, Sanctuary and Quality.

In terms of Net Premium Written (NPW), the top players were Nicoz Diamond, Econet and Old Mutual Insurance with a combined NPW market share of 47.68%.

In terms of total assets, Old Mutual, Nicos Diamond and Cell were the major market leaders with a combined market share of 43.46% as shown in Figure 7 below:

Figure 7: Market Share for Short-term Insurers in Terms of Total Assets



**Others comprises of Evolution, Champions, ECGC, Credit Insurance, Clarion, Hamilton, Allied, Sanctuary and Quality.*

SECTION B

4. Reinsurance Companies

Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Regional Hub Office located in Zimbabwe.

Detailed statistics for all reinsurers are shown in Appendix 2A-C.

4.1. Performance in Terms of Business Written

The total business written by short-term reinsurers increased from \$86.54 million for the nine months ended 30 September 2018 to \$294.32 million for the period under review. This increase was due to currency reforms and inflationary pressures mentioned in Section 1.2 and reduced retention ratios of short-term insurers. Figure 8 below shows the trend in volume of business written by short term reinsurers in the nine months period from 2015 to 2019:

Figure 8: Trend in Business Written

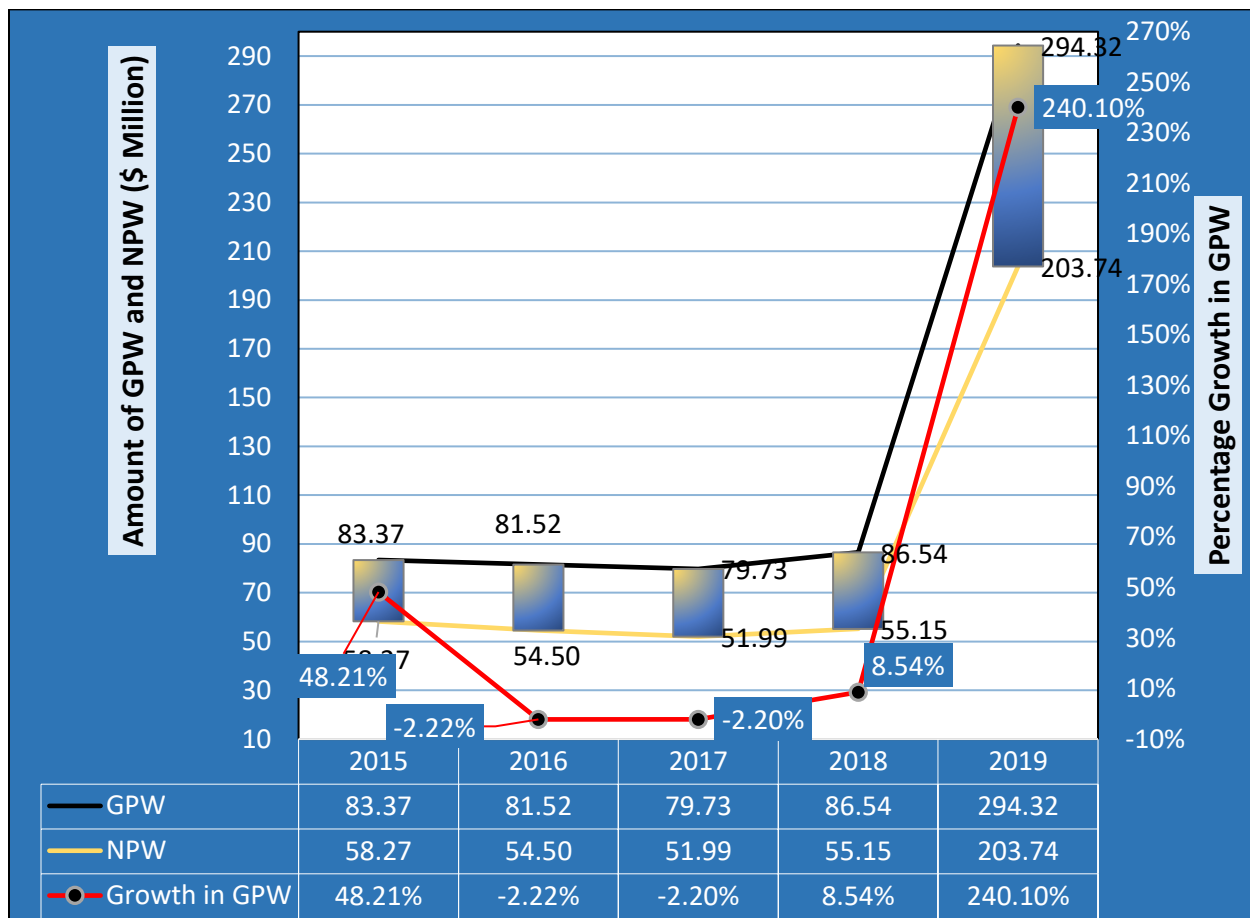


Table 7: Reinsurers' Gross Premium Written By Class of Business

Class of Business	Gross Premium Written		Percentage Change
	30-Sep-18 USD	30-Sep-19 ZWL	
Aviation	1,216,471	6,003,243	393.50%
Bonds/Guarantee	404,156	3,947,195	876.65%
Engineering	4,805,522	22,853,718	375.57%
Farming	3,703,202	5,606,112	51.39%
Fire	34,854,660	126,234,320	262.17%
Hail	1,310,760	1,355,953	3.45%
Health	1,808,329	770,852	-57.37%
Hire Purchase	107,003	52,067.00	-51.34%
Marine	1,828,454	3,699,330	102.32%
Miscellaneous Accident	16,709,139	23,518,023	40.75%
Motor	13,234,482	85,443,996	545.62%
Personal Accident	3,877,381	10,091,254	160.26%
Public Liability	2,683,198	4,739,661	76.64%
Total	86,542,757	294,315,724	240.08%

As shown in the table 7 above, fire, motor, miscellaneous accident and engineering insurance were the dominant classes of businesses as they constituted 87.68% of the overall business written for the nine months ended 30 September 2019.

4.2. Capitalisation

As at 30 September 2019, all the registered short-term reinsurers reported capital positions which were above the minimum capital requirement of \$5 million.

However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (SI) 95 of 2017 which, among other things, discounts non-permissible assets.

Table 8 below shows the capital positions for short term reinsurers:

Table 8: Reported Capital Positions for Short-Term Reinsurers

Reinsurance Company	Reported Capital Position (\$)			
	31-Dec-18	31-Mar-19	30-Jun-19	30-Sep-19
1. Emeritus Re.	38,313,435	40,351,802	53,759,374	89,727,875
2. FBC Re.	15,607,315	16,461,892	25,276,661	27,671,668
3. FM RE	9,363,092	5,217,151	8,408,119	18,673,172
4. Grand Re.	10,348,374	11,165,694	14,277,105	20,061,957
5. Tropical Re.	5,420,730	4,590,495	8,940,877	26,436,697
6. WAICA Re	5,115,043	18,983,145	31,147,208	58,344,773
7. PTA Re.	6,870,596	7,618,002	72,239,188	142,471,449
8. ZB Re.	12,404,780	15,351,030	31,449,385	49,093,806

Key:

	The reinsurer reported a capital position which was above \$5 million.
	The reinsurer reported a capital position which was below \$5 million.

The average solvency margin for short-term reinsurers was 212.28% as at 30 September 2019, which was above 137.95% reported as at 30 September 2018.

All the reinsurers were compliant with the minimum solvency margin of 25% stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07]. The solvency margin for individual reinsurers as at 30 June 2019 ranged from 69.28% to 643.13% as shown in appendix 2C.

4.3. Asset Quality

Short-Term reinsurers had an asset base of \$734.37 million as at 30 September 2019, reflecting a 64.49% increase from the \$446.44 million reported as at 30 June 2019. This growth was mainly attributed to significant increases in prescribed assets, cash and cash equivalents, premium receivables and equities.

In addition, investments in prescribed assets improved as the reinsurers had \$170.49 million invested in such assets as at 30 September 2019, translating to a contribution of 23.22% of the total assets. The prescribed assets increased by 114.72% from \$79.40 million value which was reported as at 30 June 2019. Though

investment in such assets increased, only one reinsurer was compliant with the requisite prescribed asset threshold of 10%.

On the other hand, premium receivables rose from \$84.90 million as at 30 June 2019 to \$156.17 million as at 30 September 2019, indicating a percentage change of 83.96%. This constitutes 21.27% of total reinsurers' assets which is significant, there is increased risk of financial loss for reinsurers due to possible credit default by the premium debtors.

4.4. Actuarial Matters

Total technical liabilities increased from \$96.19 million as at 30 June 2019 to \$141.78 million as at 30 September 2019.

The largest proportion of total reserves was attributable to Gross Outstanding Claims, which amounted to \$66.79 million and accounted for 47.11% of the total technical liabilities.

4.5. Retrocession

The industry's average retention ratio was 69.22% for the nine months ended 30 September 2019 compared to 68.37% that was reported for the comparative period in 2018. This reflects a general increase in risk appetite by the reinsurance companies. The individual reinsurers reported retention ratios ranging from 48.89% to 86.60% for the period under review.

4.6. Earnings

Total profit after tax for short-term reinsurers increased from \$6.25 million for the period ended 30 September 2018 to \$280.03 million for the period ended 30 September 2019. Unrealised gains on assets mainly contributed to the profitability position attained.

The combined ratio average for the short-term reinsurers increased from 95.48% for the nine months ended 30 September 2018 to 116.61% for the same period under review. This increase is due to an increase in incurred losses and expenses for reinsurers reflected in the underwriting loss for the nine months ended 30 September 2019. The combined ratio and other ratios that relate to profitability for short term reinsurers is shown in Appendix 2C under earnings.

4.7. Liquidity

Liquid assets held by short-term reinsurers increased from \$199.70 million as at 30 June 2019 to \$395.76 million as at 30 September 2019.

The average acid test ratio for individual short term reinsurers rose from 108.22% as at 30 June 2019 to 139.42% as at 30 September 2019. The acid test ratios for short term reinsurers is shown on Appendix 2C under liquidity.

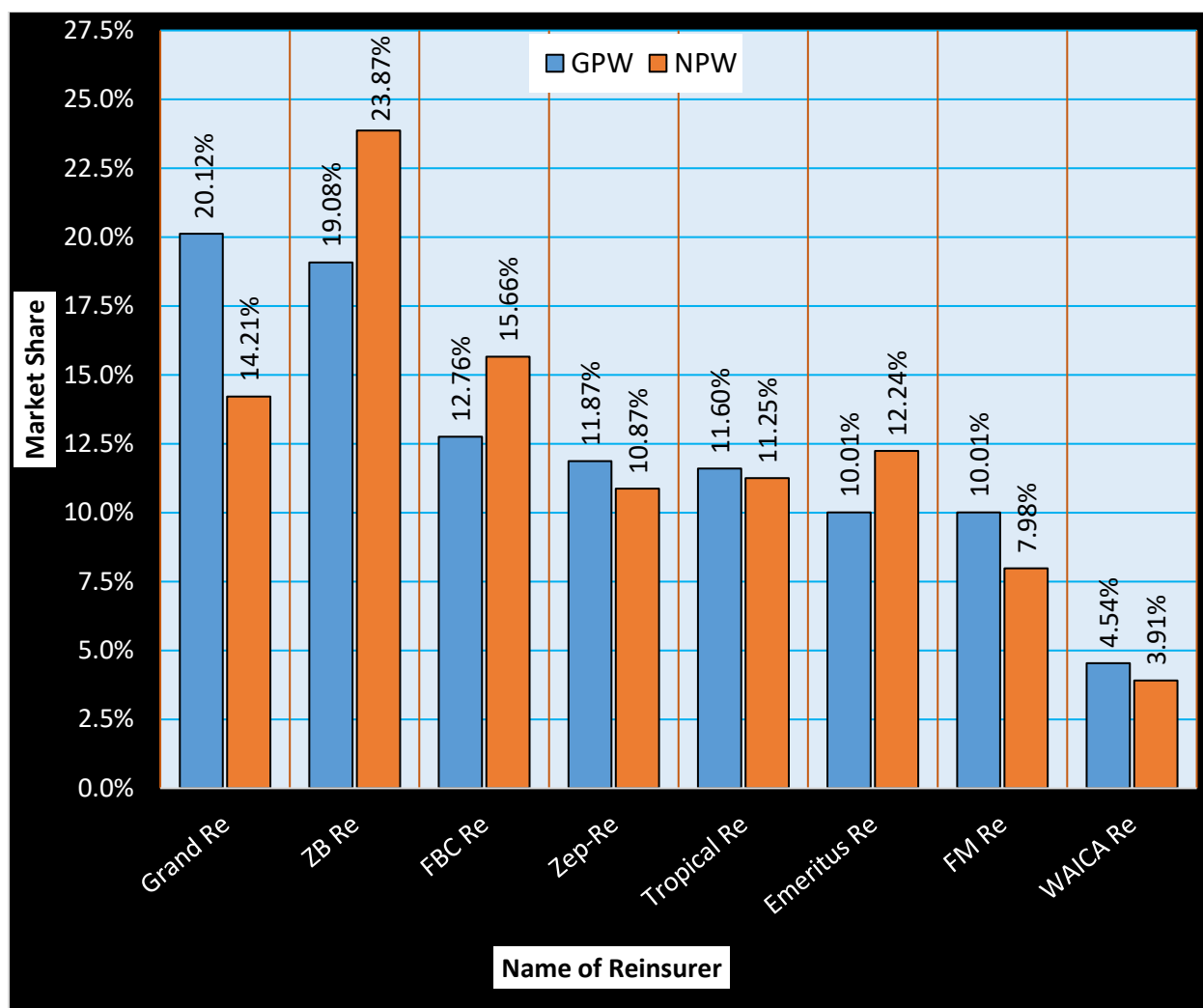
4.8. Market Share for Reinsurers

As shown in Figure 9 below, the market leaders in terms of Gross Written Premium (GWP) were Grand Re, ZB Re and FBC Re.

These reinsurers reportedly controlled 51.96% of Gross Premium Written (GPW) for the nine months ended 30 September 2019.

The figure 9 below shows the market share for short term reinsurers in terms of GPW and NPW.

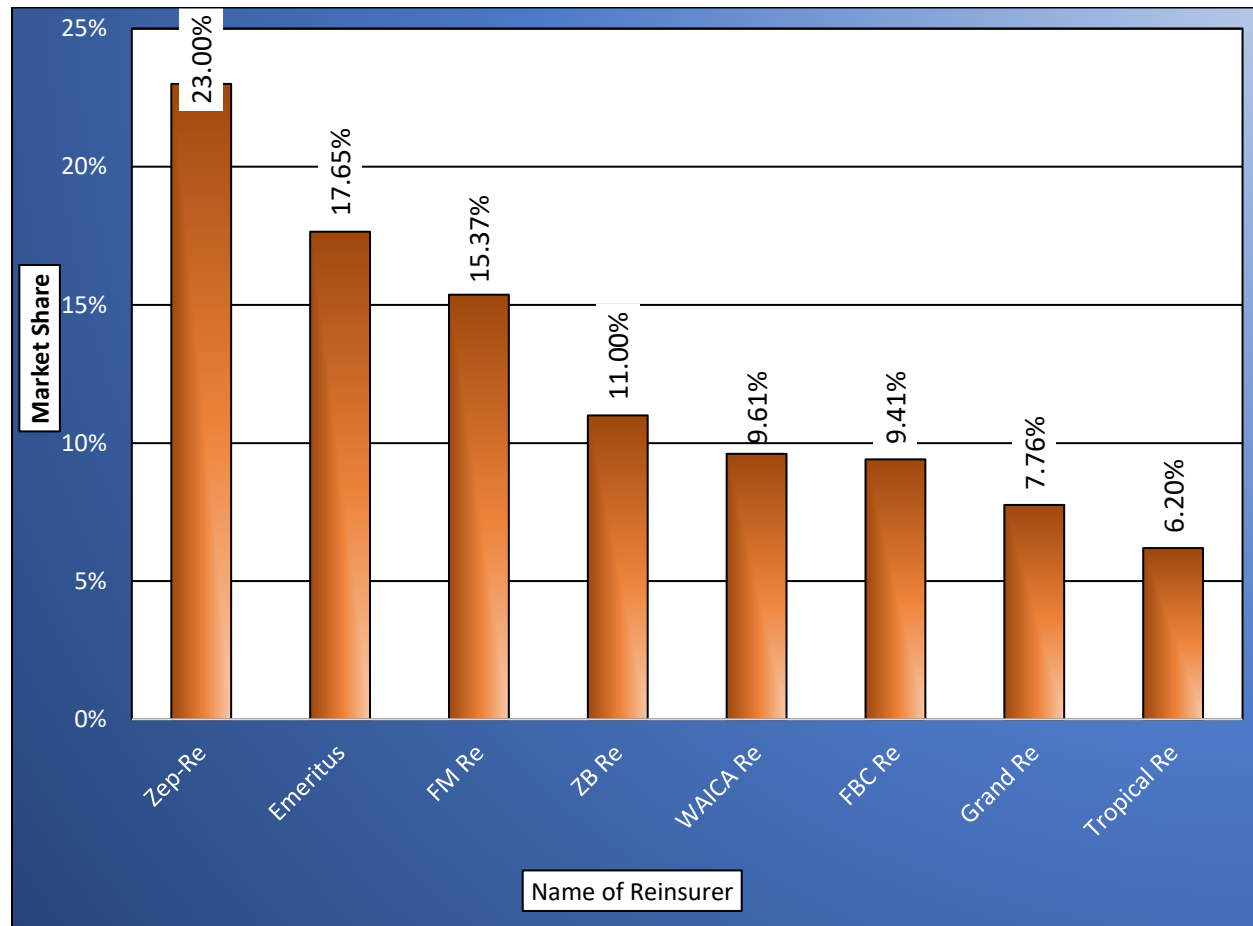
Figure 9: Market Share for Short Term Reinsurers in terms of GPW and NPW



In terms of share of total assets, Zep-Re, Emeritus Reinsurance Company and FM Re were the market leaders, with a combined market share of 56.02%.

Figure 10 below shows the market shares of each reinsurer.

Figure 10: Market Share for Short Term Reinsurers in terms of Total Assets



SECTION C

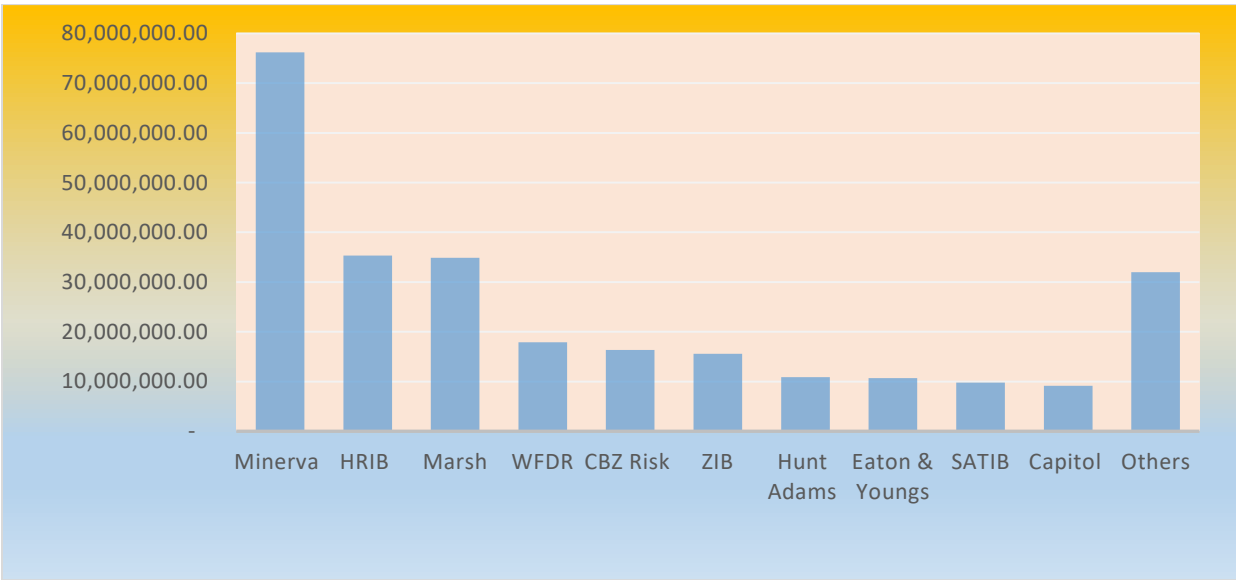
5. Insurance Brokers

In this report, the reported figures for Auto and General insurance Brokers, Hostcare Insurance Brokers, Rainbow Insurance Brokers, Revival Insurance Brokers, and Capitol reinsurance Brokers are based on their half year return, as they failed to submit their third quarter figures to the Commission. In future companies that fail to submit their returns within the stipulated timeframe will be excluded from the report and punitive regulatory action will be taken against the institutions.

5.1. Business Written

For the third quarter ended 30 September 2019, direct insurance brokers wrote business amounting to \$268.7 million. The graph below shows premiums written by different insurance brokers:

Figure 11: Premium Written Breakdown by Broker



- Others comprise Ambassador, Amour Khan, Auto & General, Entwide, Eureka, Goldstick, Broksure, Care, Coverlink, First Sun, MIB Glenrand, Hostcare, L A Guard, Momentum, Paul Mkondo, Pepro, Progressive, Revival, TIB, Rainbow and Victory.

As can be seen from Figure 11 above, the top ten brokers accounted for 88% of the total cumulative premium written for the third quarter ended 30 September 2019. The market leaders in terms of premium written were Minerva-Risk Solutions which wrote business of \$76.1 million that accounted for 28% of the business written in the period under review.

For the third quarter ended 30 September 2019, insurance brokers wrote \$268.7 million worth of business. This represented a 212.12% increase in business written from \$86.08 million reported in the third quarter of 2018. This is shown in table 9 below.

Table 9: Indicators of business written for insurance brokers

Indicator	30 Sept 2018 USD	30 Sept 2019 ZWL	Percentage change
Premium Written	86,081,096	268,675,583	212.12%
Premium Payable	70,706,821	223,435,246	216.00%
Brokerage Commission	15,374,275	45,219,870	194.13%
Commission Paid	76,145	4,751,144	6139.60%
Net Brokerage Commission	14,153,093	40,468,725	185.94%
Other Income	724,905	6,234,526	760.05%
Operating Expenses	12,068,599	26,730,076	121.48%
Profit Before Tax	2,809,400	19,973,175	610.94%
Taxation	340,537	3,895,834	1044.03%
Profit After Tax	2,468,863	16,077,341	551.20%

Insurance brokers recorded \$45.22 million in brokerage commission, this translated to an industry average commission of 17%. The brokers paid 11% of their brokerage income to their intermediaries. The Commission continues to urge all insurance brokers to use registered intermediaries.

5.2. Capitalisation

As at the 30th of September 2019, there was a high level of compliance with approximately 97% of the insurance brokers having net assets in excess of \$100,000, the regulatory capital threshold. Only one insurance broker reported regulatory capital of less than \$100,000. The capital positions for the lowest and highest insurance brokers ranged from \$15,551 to \$6,911,038 respectively as shown in table 10 below:

Table 10: Capitalisation for Insurance Brokers

Name of Insurance Company				
	31-Dec-18	31-Mar-19	30-Jun-19	30-Sep-19
1. Ambassador Insurance Brokers	102,431	102,701	102,701	101,654
2. Amour Khan Insurance Brokers	145,986	153,061	153,254	139,648
3. Auto & General Insurance Brokers*	395,800	392,300	392,300	392,300
4. Broksure Insurance Brokers	120,104	95,558	92,904	114,971
5. Capitol Insurance Brokers	602,469	716,702	1,827,546	1,907,853
6. Care Insurance Brokers	303,079	318,469	446,262	541,550
7. CBZ Risk	762,134	1,051,988	1,692,490	2,480,151
8. Coverlink Insurance Brokers	101,397	74,618	66,182	887,690
9. Eaton & Youngs (Private) Limited	642,257	694,898	625,330	728,645
10. Eureka Insurance Brokers	310,233	194,373	531,660	668,957
11. Entwide	117,151	118,385	129,417	126,285
12. First Sun Alliance	377,404	374,799	419,191	2,718,355
13. Glenrand MIB Zimbabwe	327,839	342,892	343,299	477,759
14. Goldstick Insurance Brokers	245,172	244,201	242,259	283,122
15. Hostcare Insurance Brokers*	100,843	243,914	243,914	243,914
16. HRIB (Private) Limited	521,743	910,632	2,364,748	6,911,038
17. Hunt Adams & Associates	389,001	608,284	551,314	361,435
18. L. A. Guard Insurance Brokers	259,822	283,995	283,995	333,377
19. Marsh Insurance Brokers	1,179,527	1,214,043	1,353,193	3,033,180
20. Minerva Risk Solutions	2,160,182	2,535,126	3,804,358	6,620,616
21. Momentum Insurance Brokers	421,939	706,728	739,971	661,689
22. Paul Mkondo Insurance Brokers	169,290	167,855	176,495	194,054
23. Perpro Insurance Brokers	246,236	253,013	269,554	289,313
24. Progressive Insurance Brokers	582,124	395,559	322,393	150,208
25. Rainbow Insurance Brokers*	15,159	15,258	15,551	15,551
26. Revival Insurance Brokers*	485,450	394,000	482,000	482,000
27. SATIB Insurance Brokers	533,970	573,194	1,272,636	2,383,604
28. TIB Insurance Brokers	263,318	249,945	242,984	252,135
29. Victory Insurance Brokers	330,836	663,685	1,178,836	2,418,848
30. WFDR Risk Services	573,796	633,550	778,251	1,198,874
31. Zimbabwe Insurance Brokers	247,137	394,174	560,519	3,604,473

Key:

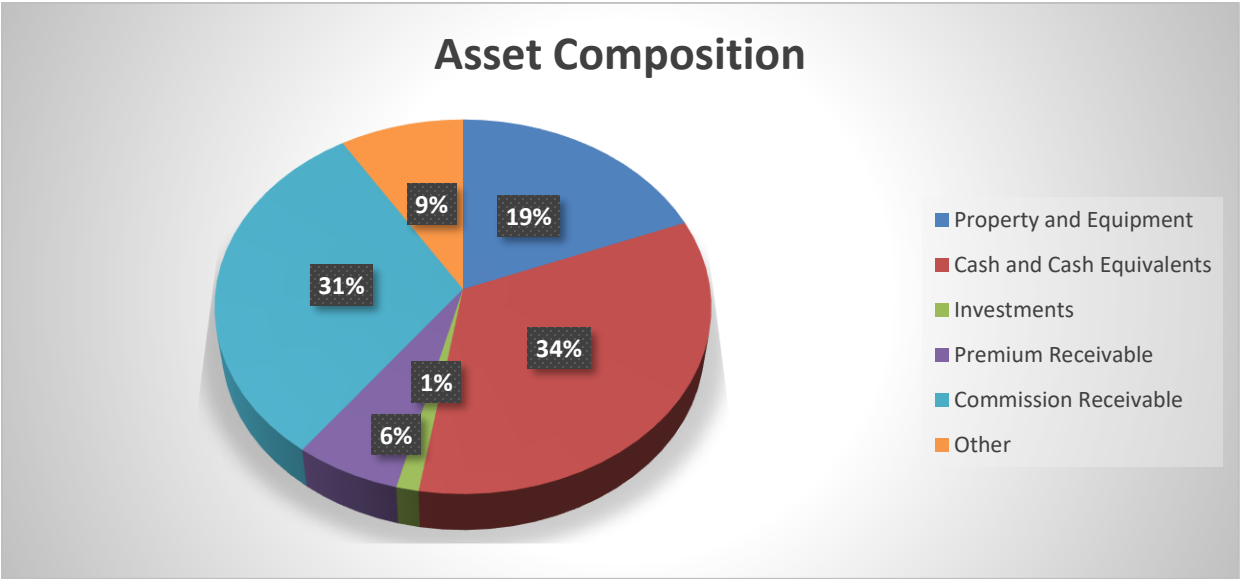
	The insurer reported a capital position that was above the requirement of \$100,000.
	The insurer reported a capital position that was below the requirement of \$100,000.

Rainbow Insurance brokers is still undercapitalised and the institution is expected to quickly address their undercapitalisation to ensure full compliance with the legislation to avoid punitive regulatory action being taken against them. As previously advised all insurance brokers are also expected to ensure that they have in place, at all times, a proper and valid professional indemnity policy of an appropriate amount as required in SI 95 of 2017.

5.3. Asset Quality

The asset base for insurance brokers stood at \$114.1 million as at the 30th of September 2019, a 56% increase from the \$63.2 million reported in the second quarter of 2019. The asset base for insurance brokers is skewed towards cash and cash equivalents, commission receivable and property and equipment. The distribution of assets across different asset classes is shown in Figure 12 below.

Figure 12: Asset composition



5.4. Earnings

Insurance brokers reported a 551% increase in total profit after tax from \$2.47 million for the period ended 30 September 2018 to \$16.08 million for the current period under review. This marked increase in premium written emanated from the currency reforms which took place since October 2018. The industry average on return on equity and return on assets for the reporting period were 39.48% and 14.09% respectively.

SECTION D

6. Reinsurance Brokers

6.1 Business Written

Reinsurance brokers reported ZWL\$ 181.78 million in gross premium for the third quarter ended 30 September 2019. The industry average commission ratio for reinsurance brokers for the second quarter was 19.33%.

Table 11 below shows the key indicators of business written by reinsurance brokers.

Table 11: Indicators of business written for reinsurance brokers

Indicator	30 Sept 2018 USD	30 Sept 2019 ZWL	Percentage Change
Premium Written	72,924,565.50	181,775,981.00	149.27%
Premium Payable	56,274,547.14	146,644,426.00	160.59%
Brokerage Commission	16,650,018.36	35,131,554.00	111.00%
Commission Paid	13,697,642.00	29,423,481.00	114.81%
Net Brokerage Commission	2,952,376.36	5,708,073.00	93.34%
Other Income	52,168.07	179,025.00	243.17%
Operating Expenses	2,112,203.85	3,902,100.00	84.74%
Profit Before Tax	892,340.58	1,984,998.00	122.45%
Taxation	216,054.49	468,563.00	116.87%
Profit After Tax	676,286.09	1,516,434.00	124.23%

6.2 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers was \$1.52 million for the third quarter ended 30 September 2019 as shown in the table 8 above.

6.3 Capitalisation

All of the reinsurance brokers reported capital positions which were above \$100,000 as at 30 September 2019. Table 12 below shows the capital positions reported by all reinsurance brokers:

Table 12: Capital Levels for Reinsurance Brokers

Name of Reinsurance Broker	31-Dec-18 (\$)	31-Mar-19 (\$)	30-Jun-19 (\$)	30-Sept-19 (\$)
1. Afro-Asian Reinsurance Brokers	165,315	258,665	403,729	307,948
2. Capitol Reinsurance Brokers	114,279	242,301	266,923	266,923
3. Classic Reinsurance Brokers	116,359	115,839	122,079	2,470,283
4. Marsh Reinsurance Brokers	134,117	166,049	254,751	349,252
5. Minerva Re (Private) Limited	3,105,927	3,368,660	3,995,941	4,416,008
6. Pan African Re	414,388	403,989	381,904	476,486
7. Reinsurance Brokers International	293,758	289,916	285,577	278,438

6.4 Asset Quality

Reinsurance brokers reported total assets amounting to \$277.23 million as at 30 September 2019. The asset distribution for reinsurance brokers included land and buildings, furniture and fittings, motor vehicles, property and equipment, investments and cash.

6.5 Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained dominant throughout the year in terms of business written, net brokerage commission and total assets for the reinsurance broking market. The market share for all the reinsurance brokers for the period under review is as shown in Table 13 below.

Table 13: Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written
1. Minerva Re (Private) Limited	78.49%
2. Pan African Reinsurance Brokers	7.61%
3. Marsh Reinsurance Brokers	7.64%
4. Reinsurance Brokers International	0.59%
5. Afro-Asian Reinsurance Brokers	2.92%
6. Capitol Reinsurance Brokers	2.75%
7. Classic Reinsurance Brokers*	0.00%
Total	100%

**The reinsurance broker did not write any business during the period under review.*

Appendix 1A

Statement of Comprehensive Income for Short Term Insurers for the nine months ended 30 September 2019

	Alliance	Allied	CBZ	Cell Insurance Company		Champions	Clarion	Credsura	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
Gross Premium Written	65,534,736	3,051,593	28,863,219	95,273,989	13,586,704	10,149,097	10,649,191	5,272,263	49,212,489	10,263,508	7,300,380	37,343,080	3,377,130	96,482,196	84,600,808	2,253,000	4,720,008	2,298,100	99,739,687	629,971,177
Reinsurance Premium	31,480,236	977,245	14,951,404	83,345,379	-	1,894,549	199,088	3,794,221	3,057,722	3,704,662	620,391	23,427,904	227,286	50,241,982	41,074,310	578,000	479,668	143,870	84,670,456	344,868,374
Net Premium Written	34,054,500	2,074,348	13,911,815	11,928,610	13,586,704	8,254,548	10,450,103	1,478,042	46,154,767	6,558,845	6,679,989	13,915,175	3,149,844	46,240,214	43,526,498	1,675,000	4,240,339	2,154,230	15,069,231	285,102,803
Increase/(Decrease) in UPR	(65,582)	958,046	5,916,255	4,595,481	8,073,845	(138,026)	695,129	243,196	36,285,463	(243,464)	2,388,090	1,847,445	572,035	9,064,637	7,012,669	227,000	(271,148)	901,904	(483,651)	77,579,324
Net Earned Premium	34,120,082	1,116,302	7,995,560	7,333,129	5,512,859	8,392,574	9,754,974	1,234,846	9,869,304	6,802,309	4,291,899	12,067,731	2,577,809	37,175,577	36,513,829	1,448,000	4,511,487	1,252,326	15,552,882	207,523,478
Net Incurred Claims	22,768,919	321,125	2,872,923	5,243,330	2,539,504	1,616,836	735,501	683,962	3,863,722	1,529,757	607,801	6,972,721	191,223	16,952,103	23,493,166	229,000	(10,493)	556,992	4,654,503	95,822,595
Net Commission Incurred	4,202,419	974	(239,219)	(4,243,180)	-	(214,793)	5,410,223	77,781	(4,116,727)	108,160	19,888	767,600	132,153	2,178,010	(825,194)	113,000	1,126,359	22,341	(4,756,580)	(236,786)
Technical Result	7,148,744	794,203	5,361,856	6,332,979	2,973,355	6,990,531	3,609,249	473,103	10,122,309	5,164,392	3,664,210	4,327,410	2,254,433	18,045,464	13,845,857	1,106,000	3,395,622	672,993	15,654,959	111,937,669
Operating Expenses	7,558,106	853,695	4,310,890	5,919,859	4,383,547	7,824,294	3,426,287	1,367,198	8,273,465	1,867,097	2,512,758	10,616,145	2,114,375	15,994,286	13,969,444	939,000	1,597,653	1,530,242	8,894,978	103,953,320
Underwriting Result	(409,361)	(59,492)	1,050,966	413,120	(1,410,192)	(833,763)	182,962	(894,095)	1,848,843	3,297,295	1,151,452	(6,288,735)	140,058	2,051,178	(123,587)	167,000	1,797,969	(857,249)	6,759,981	7,984,349
Investment Income	295,811	(37,936)	77,560	127,274	19,275	7,557	-	62,082	(10,514)	64,753	669,131	185,621	-	46,642,461	25,823,644	56,000	58,000	-	203,987	74,244,705
Unrealised Gains/(Losses)	-	1,499,020	3,685,589	6,104,960	15,254,629	-	-	1,020,326	7,735,855	-	-	13,667,310	-	-	56,487,925	2,854,000	-	65,480	7,123,253	115,498,347
Other Income/(Expenses)	687,680	735,724	119,201	12,728,243	(1,521,088)	879,700	818,613	221,372	(651,513)	163,733	440,029	613,331	652,613	8,640,618	5,342,374	-	-	520,740	26,586	30,417,957
Profit/(Loss) Before Tax	574,129	2,137,316	4,933,316	19,373,597	12,342,624	53,494	1,001,575	409,685	8,922,671	3,525,781	2,260,612	8,177,527	792,671	57,334,257	87,530,356	3,077,000	1,855,969	(271,029)	14,113,807	228,145,358
Taxation	-	550,358	657,478	3,058,880	-	13,674	257,906	105,494	2,659,895	-	-	2,110,088	118,901	13,853,109	5,451,356	143,000	418,985	-	941,205	30,340,328
Profit/(Loss) After Tax	574,129	1,586,958	4,275,838	16,314,717	12,342,624	39,820	743,669	304,191	6,262,776	3,525,781	2,260,612	6,067,439	673,770	43,481,148	82,079,000	2,934,000	1,436,984	(271,029)	13,172,602	197,805,030
Dividends	-	-	-	-	-	-	-	-	-	-	-	-	-	-	40,685	-	-	-	1,537,642	1,578,327
Retained Income	574,129	1,586,958	4,275,838	16,314,717	12,342,624	39,820	743,669	304,191	6,262,776	3,525,781	2,260,612	6,067,439	673,770	43,481,148	82,038,315	2,934,000	1,436,984	(271,029)	11,634,960	196,226,703

Appendix 1B

Statement of Financial Position for Short Term Insurers as at 30 September 2019

	Alliance	Allied	CBZ	Cell Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
ASSETS																				
Non-Current Assets																				
Fixed Assets	75,768,159	29,658,060	27,106,057	6,960,682		17,075,086	3,979,238	11,722,384	3,243,892	3,200,753	1,811,963	10,542,316	561,887	36,657,000	8,620,597	14,995,000	72,103,896	1,080,921	6,097,524	331,185,416
Equities	425,448	-	2,286,861	2,234,990	1,078,755		1,999	3,003,882	25,757,728	7,232,797	19,891	9,441,497	1,929,950	16,063,311	115,066,083	6,218,000	-	6,420	646,341	191,413,953
Investments in Associated Companies	-	-	-	5,610,456		1,375,925	160,000	-	-	-	-	-	-	7,739,362	-	-	-	6,064,800	-	20,950,543
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	1,004,862	254,025	12,156,510	-	-	109,592	366,722	126,349	-	1,154,190	-	221,371	-	4,588,316	17,209,155	14,000	-	-	827,687	38,032,779
	77,198,469	29,912,085	41,549,428	14,806,128	1,078,755	18,560,603	4,507,960	14,852,615	29,001,620	11,587,740	1,831,854	20,205,184	2,491,837	65,047,989	140,895,835	21,227,000	72,103,896	7,152,141	7,571,552	581,582,691
Technical Assets																				
Reinsurers' Share of Outstanding Claims	11,719,744	136,314	2,463,921	-	-	719,060	68,326	271,241	-	-	-	882,055	137,464	-	42,194,474	34,000	-	-	33,903,509	92,530,108
Deferred Acquisition Cost/UCR	722,821	234,280	81,566	8,085,210		163,552	581,311	107,601	12,793,053	312,716	3,253	237,712	203,755	3,382,460	1,186,460	97,000	18,984	212,202	1,064,470	29,488,406
	12,442,565	370,594	2,545,487	8,085,210	-	882,612	649,637	378,842	12,793,053	312,716	3,253	1,119,767	341,219	3,382,460	43,380,934	131,000	18,984	212,202	34,967,979	122,018,514
Current Assets																				
Cash & cash equivalents	7,751,447	2,351,289	3,338,200	14,454,356	24,708,560	1,393,482	339,923	595,333	6,895,721	1,484,678	13,178,139	9,849,327	24,580,485	20,182,915	27,854,212	968,000	258,000	368,819	5,203,843	165,756,729
Money Market Investments	462,115	57,837	277,300	-	332,562	-	-	-	-	250,625	2,839,624	-	-	-	189,578	-	-	-	4,619,219	9,028,860
Current Prescribed Assets	487,671	73,024	955,847	1,637,509		263,846	30,000	365,823	3,624,360	921,584	-	-	(206)	11,877,783	118,775	10,000	353,333	71,263	1,882,319	22,672,931
Premiums Receivable	7,526,301	1,303,484	13,517,611	42,431,078	1,513,785	1,276,229	2,789,495	1,087,828	39,067,287	1,242,657	2,221,722	22,047,611	816,969	48,305,682	29,853,806	57,000	15,451,601	767,056	29,116,705	260,393,907
Other Current Assets	5,549,708	284,131	1,222,737	4,324,779		656,621	2,834,263	316,937	1,008,336	1,031,664	273,156	1,600,014	254,347	13,493,389	5,098,141	37,000	-	116,131	3,847,861	41,949,215
	21,777,242	4,069,765	19,311,695	62,847,722	26,554,907	3,590,178	5,993,681	2,365,921	50,595,704	4,931,208	18,512,641	33,496,952	25,651,595	93,859,769	63,114,512	1,072,000	16,062,934	1,323,269	44,669,947	499,801,642
TOTAL ASSETS	111,418,276	34,352,444	63,406,610	85,739,060	27,633,662	23,033,393	11,151,278	17,597,378	92,390,377	16,831,664	20,347,748	54,821,904	28,484,651	162,290,218	247,391,281	22,430,000	88,185,813	8,687,612	87,209,478	1,203,402,847
LIABILITIES																				
Deferred Tax Liabilities	-	-	3,904,979	2,701,275		(53,531)	163,030	-	-	-	-	1,075,912	-	14,232,289	2,284,721	336,000	-	69,109	758,790	25,472,574
Long Term loan	-	-	-	-	-	-	28,782	-	-	-	-	-	-	-	-	-	-	-	108,196	136,978
Current Tax provisions	-	545,356	65,688	687,592	-	67,037	12,532	105,494	2,533,575	-	-	1,818,015	-	-	341,053	8,000	418,985	-	(158,180)	6,445,147
Gross Outstanding Claims	14,601,829	336,355	3,308,303	987,496	521,505	2,458,934	799,722	678,101	-	249,840	93,645	1,850,031	241,274	5,800,595	58,429,928	136,000	78,285	205,428	35,130,997	125,908,268
IBNR	7,550,672	118,988	1,043,386	530,990	321,208	551,615	630,010	147,805	1,169,290	366,138	365,019	875,761	187,051	2,670,108	983,223	62,000	61,485	202,718	1,208,388	19,045,854
UPR	3,613,979	1,445,248	15,213,217	5,835,381	8,793,199	817,764	3,150,048	391,287	36,376,082	1,226,536	3,231,094	2,816,118	1,058,957	16,744,775	29,118,692	522,000	379,678	1,511,960	4,668,524	136,914,540
Reinsurance Creditors	5,589,732	253,137	7,460,817	45,120,982		648,307	334,268	1,386,326	5,076,981	2,805,042	195,333	21,482,339	378,845	43,750,738	-	66,000	193,082	360,503	14,446,940	149,549,372
Other Liabilities	-	387,677	3,617,682	6,772,449		3,236,141	132,237	1,300,189	5,627,077	392,865	304,880	4,016,919	328,395	17,134,196	24,257,142	169,000	-	1,725,164	4,021,686	73,423,699
TOTAL LIABILITIES	31,356,212	3,086,761	34,614,072	62,636,165	9,635,912	7,726,267	5,250,628	4,009,202	50,783,004	5,040,421	4,189,971	33,935,095	2,194,522	100,332,701	115,414,759	1,299,000	1,131,515	4,074,882	60,185,341	536,896,431
SHAREHOLDERS' EQUITY																				
Share Capital	300,986	30,350	78,117	3,924,127		381,501	1,494,922	10,774	100	2,350,000	1,500,000	1,000	500,000	2,974,861	300,000	230,000	25,832,015	108,130	2,500,000	42,516,883
Share Premium	-	1,090,179	1,479,090	-	-	-	-	2,815,768	37,299,900	-	12,598,633	2,799,500	1,500,000	12,152,625	-	603,000	-	2,152,434	52,509	74,543,638
Revaluation & Other Reserves	72,437,362	27,585,460	17,315,563			14,153,398	4,150,281	10,861,850	23,633	268,976	957,406	7,812,612	25,641,531	497,618	6,663,313	14,321,000	58,928,308	105,000	1,804,272	263,527,583
Retained Profit	7,323,716	2,559,694	9,919,768	19,178,768	17,997,750	772,227	255,446	(100,216)	4,283,740	9,172,267	1,101,738	10,273,697	(1,351,402)	46,332,413	125,013,209	5,977,000	2,293,975	2,247,166	22,667,356	285,918,311
Shareholders' Equity	80,062,064	31,265,683	28,792,538	23,102,895	17,997,750	15,307,126	5,900,649	13,588,176	41,607,373	11,791,243	16,157,777	20,886,809	26,290,129	61,957,517	131,976,522	21,131,000	87,054,298	4,612,730	27,024,137	666,506,415
TOTAL EQUITY & LIABILITIES	111,418,276	34,352,444	63,406,610	85,739,060	27,633,662	23,033,393	11,151,278	17,597,378	92,390,377	16,831,664	20,347,748	54,821,904	28,484,651	162,290,218	247,391,281	22,430,000	88,185,813	8,687,612	87,209,478	1,203,402,846

Appendix 1C

Key Performance Indicators (KPIs) for Short Term Insurers as at 30 September 2019

	Alliance	Allied	CBZ	Cell	Cell Business	Champions	Clarion	Credsurre	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total/ Average
Capital Adequacy																				
Capital Position (\$000)	80,062	31,266	28,793	23,103	17,998	15,307	5,901	13,588	41,607	11,791	16,158	20,887	26,290	61,958	131,977	21,131	87,054	4,613	27,024	37,028
Capital Maintenance Ratio (CMR)	940.40%	2084.38%	827.86%	774.71%	529.86%	678.05%	225.86%	905.88%	360.59%	719.10%	967.53%	600.40%	1752.68%	535.96%	1212.84%	1408.73%	5803.62%	307.52%	717.33%	935.11%
Equity/Total Assets Ratio	71.86%	91.01%	45.41%	26.95%	65.13%	66.46%	52.91%	77.22%	45.03%	70.05%	79.41%	38.10%	92.30%	38.18%	53.35%	94.21%	98.72%	53.10%	30.99%	55.39%
Solvency Margin	235.10%	1507.25%	206.96%	193.68%	132.47%	169.51%	56.46%	919.34%	90.15%	179.78%	241.88%	150.10%	834.65%	133.99%	303.21%	1261.55%	2053.00%	214.12%	179.33%	233.78%
Asset Quality																				
Total Assets (\$000)	111,418	34,352	63,407	85,739	27,634	23,033	11,151	17,597	92,390	16,832	20,348	54,822	28,485	162,290	247,391	22,430	88,186	8,688	87,209	1,203,403
Interest Generating Assets to Total Assets	8.19%	7.23%	10.82%	21.38%	94.52%	7.20%	3.34%	22.53%	39.27%	58.76%	78.82%	35.19%	93.07%	29.65%	57.90%	32.08%	0.69%	5.14%	14.16%	32.31%
Non-Interest Generating Assets/Total Assets	91.81%	92.77%	89.18%	72.08%	5.48%	86.83%	95.23%	77.47%	60.73%	41.24%	21.18%	64.81%	6.93%	65.58%	42.10%	67.92%	99.31%	25.05%	85.84%	65.94%
Fixed Assets/Total Assets	68.00%	86.33%	42.75%	8.12%	0.00%	74.13%	35.68%	66.61%	3.51%	19.02%	8.90%	19.23%	1.97%	22.59%	3.48%	66.85%	81.76%	12.44%	6.99%	27.52%
Prescribed Assets Ratio	0.50%	0.22%	1.96%	2.11%	0.00%	1.20%	0.30%	2.14%	4.55%	6.00%	0.00%	0.00%	0.00%	7.70%	0.06%	0.04%	0.40%	0.84%	3.66%	2.17%
Premium Debtors/Gross Premium	11.48%	42.71%	46.83%	44.54%	11.14%	12.57%	26.19%	20.63%	79.38%	12.11%	30.43%	59.04%	24.19%	50.07%	35.29%	2.53%	327.36%	33.38%	29.19%	41.33%
Premium Debtors/Total Assets	6.75%	3.79%	21.32%	49.49%	5.48%	5.54%	25.02%	6.18%	42.29%	7.38%	10.92%	40.22%	2.87%	29.76%	12.07%	0.25%	17.52%	8.83%	33.39%	21.64%
Reinsurance																				
Risk Retention Ratio	51.96%	67.98%	48.20%	12.52%	100.00%	81.33%	98.13%	28.03%	93.79%	63.90%	91.50%	37.26%	93.27%	47.93%	51.45%	74.35%	89.84%	93.74%	15.11%	45.26%
Reinsurance Creditors/Reinsurance Premium	17.76%	25.90%	49.90%	54.14%	0.00%	34.22%	167.90%	36.54%	166.04%	75.72%	31.49%	91.70%	166.68%	87.08%	0.00%	11.42%	40.25%	250.57%	17.06%	43.36%
Reinsurers' Share of O/S Claims to O/S Claims	80.26%	40.53%	74.48%	0.00%	0.00%	29.24%	8.54%	40.00%	0.00%	0.00%	0.00%	47.68%	56.97%	0.00%	72.21%	25.00%	0.00%	0.00%	96.51%	73.49%
Reinsurers Debtors/Reinsurance Creditors	209.67%	53.85%	33.02%	0.00%	0.00%	110.91%	20.44%	19.57%	0.00%	0.00%	0.00%	4.11%	36.29%	0.00%	0.00%	51.52%	0.00%	0.00%	234.68%	61.87%
Actuarial																				
UPR (\$000)	3,614	1,445	15,213	5,835	8,793	818	3,150	391	36,376	1,227	3,231	2,816	1,059	16,745	29,119	522	380	1,512	4,669	136,915
IBNR (\$000)	7,551	119	1,043	531	321	552	630	148	1,169	366	365	876	187	2,670	983	62	61	203	1,208	19,046
Net Outstanding Claims	2,882	200	844	987	522	1,740	731	407	-	250	94	968	104	5,801	16,235	102	78	205	1,227	33,378
Liquid Assets/Total Reserves	61.94%	140.69%	26.73%	218.82%	259.87%	53.30%	8.20%	101.61%	28.02%	144.20%	434.11%	211.37%	1821.01%	127.15%	60.78%	142.57%	117.69%	22.92%	164.76%	104.29%
Liquid Assets/(Outstanding Claims+IBNR)	83.40%	778.03%	242.16%	1059.73%	2971.49%	72.33%	27.17%	173.29%	899.70%	431.33%	3492.27%	534.20%	8450.87%	378.49%	163.56%	596.34%	437.39%	107.82%	480.54%	376.66%
Assets/Total Reserves	793.20%	1947.11%	370.78%	1165.90%	286.78%	740.80%	247.18%	1860.28%	246.08%	913.52%	551.47%	1176.47%	2110.26%	643.61%	533.89%	3269.68%	16976.85%	452.45%	1227.54%	635.58%
Earnings																				
Profit After Tax (\$000)	574	1,587	4,276	16,315	12,343	40	744	304	6,263	3,526	2,261	6,067	674	43,481	82,079	2,934	1,437	(271)	13,173	197,805
Return on Equity	1.35%	9.61%	25.23%	118.24%	122.64%	0.45%	19.73%	4.17%	30.10%	46.80%	23.99%	44.55%	4.84%	116.90%	106.13%	25.64%	3.22%	-8.65%	74.88%	52.55%
Return on Assets	0.85%	8.53%	11.26%	32.08%	80.86%	0.27%	9.46%	2.95%	13.56%	31.54%	18.87%	17.97%	4.38%	45.80%	57.78%	23.75%	3.18%	-4.49%	25.68%	28.51%
Loss Ratio	66.73%	28.77%	35.93%	71.50%	46.07%	19.27%	7.54%	55.39%	39.15%	22.49%	14.16%	57.78%	7.42%	45.60%	64.34%	15.81%	-0.23%	44.48%	29.93%	46.17%
Net Commission Ratio	12.32%	0.09%	-2.99%	-57.86%	0.00%	-2.56%	55.46%	6.30%	-41.71%	1.59%	0.46%	6.36%	5.13%	5.86%	-2.26%	7.80%	24.97%	1.78%	-30.58%	-0.11%
Net Expense Ratio	22.15%	76.48%	53.92%	80.73%	79.51%	93.23%	35.12%	110.72%	83.83%	27.45%	58.55%	87.97%	82.02%	43.02%	38.26%	64.85%	35.41%	122.19%	57.19%	50.09%
Combined Ratio	101.20%	105.33%	86.86%	94.37%	125.58%	109.93%	98.12%	172.41%	81.27%	51.53%	73.17%	152.11%	94.57%	94.48%	100.34%	88.47%	60.15%	168.45%	56.54%	96.15%
Underwriting Margin	-1.20%	-5.33%	13.14%	5.63%	-25.58%	-9.93%	1.88%	-72.41%	18.73%	48.47%	26.83%	-52.11%	5.43%	5.52%	-0.34%	11.53%	39.85%	-68.45%	43.46%	3.85%
Investment Income/NPW Ratio	0.87%	70.44%	27.05%	52.25%	112.42%	0.09%	0.00%	73.23%	16.74%	0.99%	10.02%	99.55%	0.00%	100.87%	189.11%	173.73%	1.37%	3.04%	48.62%	66.55%
Investment Income/Total Financial Assets	3.10%	58.86%	41.15%	30.31%	56.16%	0.46%	0.00%	15.53%	12.45%	0.38%	4.17%	48.21%	0.00%	72.67%	31.87%	21.69%	9.49%	14.46%	56.37%	32.70%
Liquidity																				
Working Capital (\$000)	2,864	1,741	(9,139)	15,069	16,919	(17)	1,554	36	18,233	596	14,631	4,699	24,127	14,044	15,338	73	14,950	(814)	23,582	158,484
Current ratio	174.27%	150.50%	67.98%	113.25%	275.58%	63.83%	128.91%	73.43%	124.82%	104.04%	441.91%	104.73%	1263.59%	96.92%	145.45%	95.10%	1421.27%	37.68%	304.27%	139.98%
Acid Test ratio	44.31%	84.13%	14.22%	25.69%	259.87%	23.65%	7.18%	25.71%	20.72%	52.71%	382.29%	29.80%	1194.92%	31.95%	38.46%	77.31%	54.03%	10.80%	44.72%	44.45%
Market Shares																				
Market Share Based on GWP	10.40%	0.48%	4.58%	17.28%	2.16%	1.61%	1.69%	0.84%	7.81%	1.63%	1.16%	5.93%	0.54%	15.32%	13.43%	0.36%	0.75%	0.36%	15.83%	100%
Market Share Based on NPW	11.94%	0.73%	4.88%	8.95%	4.77%	2.90%	3.67%	0.52%	16.19%	2.30%	2.34%	4.88%	1.10%	16.22%	15.27%	0.59%	1.49%	0.76%	5.29%	100%
Market Share Based on Total Assets	9.26%	2.85%	5.27%	9.42%	2.30%	1.91%	0.93%	1.46%	7.68%	1.40%	1.69%	4.56%	2.37%	13.49%	20.56%	1.86%	7.33%	0.72%	7.25%	100%

Appendix 2A

Statement of Comprehensive Income for Short term Reinsurers for the nine months ended 30 September 2019

	Emeritus Reinsurance	FBC Reinsurance	FMRE Property and Casualty	Grand Reinsurance	Tropical Reinsurance	WAICA Reinsurance	ZB Reinsurance	Zep Reinsurance	Total
Gross Premium Written	29,458,113	37,549,791	29,464,049	59,228,075	34,140,605	13,372,954	56,167,232	34,934,907	294,315,726
Retrocession Premium	4,512,401	5,652,663	13,210,110	30,271,413	11,221,066	5,403,269	7,527,314	12,782,062	90,580,298
Net Premium Written	24,945,712	31,897,128	16,253,939	28,956,662	22,919,539	7,969,685	48,639,918	22,152,845	203,735,428
Increase/(Decrease) in UPR	5,624,504	3,980,603	1,885,569	2,837,189	3,122,242	2,755,831	8,170,065	3,830,515	32,206,518
Net Earned Premium	19,321,208	27,916,525	14,368,370	26,119,473	19,797,297	5,213,854	40,469,853	18,322,330	171,528,910
Net Incurred Claims	13,303,460	19,923,567	6,658,196	6,770,451	8,105,906	3,556,338	13,527,964	29,302,035	101,147,918
Net Commission Incurred	4,885,072	10,335,367	2,882,045	6,491,335	6,276,245	1,538,785	13,242,702	4,991,026	50,642,577
Technical Result	1,132,676	(2,342,409)	4,828,129	12,857,687	5,415,146	118,731	13,699,187	(15,970,731)	19,738,415
Operating Expenses	5,819,004	8,511,843	5,993,336	7,192,008	1,745,644	3,932,107	12,715,626	2,320,384	48,229,952
Underwriting Result	(4,686,328)	(10,854,252)	(1,165,207)	5,665,679	3,669,502	(3,813,376)	983,561	(18,291,115)	(28,491,537)
Investment Income	596,312	233,818	1,538,377	316,076	75,507	64,892	535,157	2,752,297	6,112,436
Unrealised Gains/(Losses)	16,051,056	28,870,778	17,058,666	6,979,456	11,157,784	56,352,980	35,710,000	151,139,669	323,320,389
Other Income/(Expenses)	-	404,637	(9,050,400)	-	113,414	556,678	-	-	(7,975,671)
Profit/(Loss) Before Tax	11,961,040	18,654,981	8,381,436	12,961,211	15,016,207	53,161,174	37,228,718	135,600,851	292,965,617
Taxation	1,702,599	6,110,415	127,063	924,699	(1,685,146)	-	5,760,270	-	12,939,900
Profit/(Loss) After Tax	10,258,441	12,544,566	8,254,373	12,036,512	16,701,352	53,161,174	31,468,448	135,600,851	280,025,717
Dividends	-	1,140,758	-	2,393,318	471,466	-	562,899	-	4,568,441
Retained Income	10,258,441	11,403,808	8,254,373	9,643,194	16,229,886	53,161,174	30,905,549	135,600,851	275,457,276

Appendix 2B

Statement of Financial Position for Short term Reinsurers as at 30 September 2019

	Emeritus Reinsurance	FBC Reinsurance	FMRE Property and Casualty	Grand Reinsurance	Tropical Reinsurance	WAICA Reinsurance	ZB Reinsurance	Zep Reinsurance Company	Total
ASSETS									
Non-Current Assets									
Fixed Assets	548,554	988,521	94,028	3,481,275	5,770,226	2,412,935	6,688,002	3,887,115	23,870,656
Equities	49,406,367	16,384,636	25,477,335	1,562,238	38,390	48,898	15,834,399	-	108,752,263
Investments in Associated Companies	25,510,313	491,139	-	-	9,763,200	-	-	-	35,764,652
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	770,083	59,553	-	-	750,000	623,776	-	-	2,203,412
	76,235,317	17,923,859	25,596,497	5,043,516	16,321,816	3,085,609	22,522,401	3,887,115	170,616,130
Technical Assets									
Retrocessionaires' Share of Outstanding Claims	640,331	6,356,772	-	7,650,655	2,990,125	382,647	-	-	18,020,530
Deferred Acquisition Cost	3,302,059	1,742,668	1,542,787	1,093,095	923,276	413,375	-	1,400,464	10,417,724
	3,942,390	8,099,440	1,542,787	8,743,750	3,913,401	796,022	-	1,400,464	28,438,254
Current Assets									
Cash & cash equivalents	10,126,361	30,599,361	51,500,969	13,129,634	8,319,850	57,620,685	36,354,857	8,277,951	215,929,668
Money Market Investments	8,524,427	-	-	-	803,082	-	26,560	-	9,354,069
Current Prescribed Assets	2,665,962	2,233,334	470,650	1,709,925	500,000	500,000	2,030,147	160,382,403	170,492,421
Premium Receivables	16,641,179	8,968,353	30,494,786	27,244,915	12,772,963	8,163,523	19,729,679	32,158,700	156,174,098
Other Current Assets	11,482,162	1,244,277	3,300,753	1,100,456	2,899,742	409,464	105,206	(37,174,263)	(16,632,203)
	49,440,091	43,045,325	85,767,158	43,184,930	25,295,636	66,693,672	58,246,449	163,644,791	535,318,052
TOTAL ASSETS	129,617,798	69,068,624	112,906,442	56,972,196	45,530,853	70,575,303	80,768,850	168,932,370	734,372,436
LIABILITIES									
Deferred Tax Liabilities	-	(569,216)	(390,300)	672,954	205,094	143,312	2,876,917	-	2,938,761
Long Term Loan	-	-	-	-	-	-	-	-	-
Current Tax provisions	43,232	5,966,783	-	2,704,703	(1,685,147)	-	3,364,371	-	10,393,942
Gross Outstanding Claims	8,308,449	12,994,874	7,380,323	11,471,532	5,189,272	3,562,525	1,132,162	16,747,355	66,786,492
IBNR	2,819,529	4,903,486	2,990,523	3,101,504	2,639,959	717,272	6,046,360	4,937,570	28,156,203
UPR	8,805,492	6,620,481	5,264,358	4,466,827	4,616,383	2,818,332	9,468,524	4,775,997	46,836,393
Retrocession Creditors	10,373,025	6,795,297	56,601,885	10,189,239	7,597,738	4,060,468	6,120,389	-	101,738,041
Other Creditors	9,540,196	4,685,251	22,386,481	4,303,480	530,856	928,621	2,666,321	-	45,041,206
TOTAL LIABILITIES	39,889,923	41,396,956	94,233,270	36,910,239	19,094,155	12,230,530	31,675,044	26,460,921	301,891,039
SHAREHOLDERS' EQUITY									
Share Capital	568,000	800,000	708	600,000	55	10,200	5,000	-	1,983,963
Share Premium	32,258,182	4,803,332	8,230,980	5,187,659	409,944	6,101,018	2,495,000	-	59,486,115
Revaluation & Other Reserves	51,431,104	503,726	-	14,525	4,905,510	26,133	6,255,566	-	63,136,564
Retained Profit	5,470,575	21,564,610	10,441,484	14,259,773	21,121,188	52,207,422	40,338,237	142,471,447	307,874,735
Shareholders's Equity	89,727,875	27,671,668	18,673,172	20,061,957	26,436,697	58,344,773	49,093,806	142,471,449	432,481,396
TOTAL EQUITY & LIABILITIES	129,617,798	69,068,624	112,906,442	56,972,196	45,530,852	70,575,303	80,768,850	168,932,370	734,372,435

Appendix 2C

Key Performance Indicators for Short term Reinsurers as at 30 September 2019

	Emeritus Reinsurance	FBC Reinsurance	FMRE Property	Grand Reinsurance	Tropical Reinsurance	WAICA Reinsurance	ZB Reinsurance	Zep Reinsurance	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position (\$ 000)	89,728	27,672	18,673	20,062	26,437	58,345	49,094	142,471	54,060
Capital Maintenance Ratio (CMR)	1438.77%	347.01%	459.54%	277.13%	461.38%	2618.31%	403.73%	2572.52%	849.10%
Equity/Total Assets Ratio	69.22%	40.06%	16.54%	35.21%	58.06%	82.67%	60.78%	84.34%	58.89%
Solvency Margin	359.69%	86.75%	114.88%	69.28%	115.35%	654.58%	100.93%	643.13%	212.28%
Asset Quality									
Total Assets (\$ 000)	129,618	69,069	112,906	56,972	45,531	70,575	80,769	168,932	734,372
Investments to Assets	54.56%	71.26%	68.60%	28.79%	21.22%	82.42%	67.16%	99.84%	73.57%
Non-Interest Generating Assets/Total Assets	25.16%	27.94%	31.38%	71.21%	55.69%	16.69%	32.84%	0.16%	26.12%
Fixed Assets/Total Assets	0.42%	1.43%	0.08%	6.11%	12.67%	3.42%	8.28%	2.30%	3.25%
Prescribed Assets Ratio	2.13%	3.67%	0.42%	3.55%	1.22%	0.72%	2.51%	95.73%	24.23%
Premium Debtors/Gross Premium	56.49%	23.88%	103.50%	46.00%	37.41%	61.05%	35.13%	92.05%	53.06%
Premium Debtors/Total Assets	12.84%	12.98%	27.01%	47.82%	28.05%	11.57%	24.43%	19.04%	21.27%
Retrocession									
Risk Retention Ratio	84.68%	84.95%	55.17%	48.89%	67.13%	59.60%	86.60%	63.41%	69.22%
Retrocession Creditors/Retrocession Premium	229.88%	120.21%	428.47%	33.66%	67.71%	75.15%	81.31%	0.00%	112.32%
Retrocessionaires' Share of O/S Claims to O/S Claims	7.71%	48.92%	0.00%	66.69%	57.62%	10.74%	0.00%	0.00%	26.98%
Actuarial									
UPR	8,805	6,620	5,264	4,467	4,616	2,818	9,469	4,776	46,836
IBNR	2,820	4,903	2,991	3,102	2,640	717	6,046	4,938	28,156
Net Outstanding Claims	7,668	6,638	7,380	3,821	2,199	3,180	1,132	16,747	48,766
Liquid Assets/Total Reserves	110.49%	180.78%	332.40%	130.29%	101.77%	865.47%	230.74%	637.39%	319.80%
Liquid Assets/(Outstanding Claims+IBNR)	203.26%	284.47%	501.13%	214.37%	198.86%	1491.36%	535.09%	777.78%	514.52%
Total Assets/Total Reserves	671.83%	380.29%	722.13%	500.23%	481.53%	1050.93%	485.18%	638.42%	593.39%
Earnings									
Profit After Tax (000)	10,258	12,545	8,254	12,037	16,701	53,161	31,468	135,601	280,026
Return on Equity	16.76%	88.26%	52.20%	82.40%	104.62%	169.67%	106.51%	186.50%	109.64%
Return on Assets	11.52%	34.69%	12.27%	32.90%	57.18%	131.83%	65.45%	152.84%	64.31%
Loss Ratio	68.85%	71.37%	46.34%	25.92%	40.94%	68.21%	33.43%	159.93%	58.97%
Net Commission Ratio	25.28%	37.02%	20.06%	24.85%	31.70%	29.51%	32.72%	27.24%	29.52%
Net Expense Ratio	30.12%	30.49%	41.71%	27.54%	8.82%	75.42%	31.42%	12.66%	28.12%
Combined Ratio	124.25%	138.88%	108.11%	78.31%	81.46%	173.14%	97.57%	199.83%	116.61%
Investment Income/NPW Ratio	66.73%	91.25%	114.42%	25.19%	49.01%	707.91%	74.52%	694.68%	161.70%
Investment Income/Total Financial Assets	23.54%	59.13%	24.01%	44.48%	116.27%	96.99%	66.82%	91.24%	65.30%
Liquidity									
Working Capital	23,033	14,433	15,463	19,322	10,646	56,188	29,238	138,584	306,906
Current ratio	136.01%	145.96%	92.65%	177.48%	181.38%	569.64%	183.89%	623.73%	198.60%
Acid Test ratio	54.31%	93.70%	55.15%	50.72%	59.75%	490.56%	121.27%	637.39%	139.42%
Market Share of Total Liquid Assets	5.39%	8.30%	13.13%	3.75%	2.43%	14.69%	9.71%	42.62%	100%
Market Shares									
Market Share Based on GPW	10.01%	12.76%	10.01%	20.12%	11.60%	4.54%	19.08%	11.87%	100%
Market Share Based on NPW	12.24%	15.66%	7.98%	14.21%	11.25%	3.91%	23.87%	10.87%	100%
Market Share Based on Total Assets	17.65%	9.41%	15.37%	7.76%	6.20%	9.61%	11.00%	23.00%	100%

Appendix 3A

Statement of Comprehensive Income for Insurance Brokers for the half year ended 30 September 2019 (\$'000)

	Ambassador	Armour	Auto &	Broksure	Capitol	Care	CBZ	Coverlink	Eaton & Youngs	Entwide	FirstSun	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	L.A. Guard	Marsh	Minerva - Risk	Momentum	Paul Mkondo	Pespro	Progressive	Rainbow	Revival	SATB	TIB	WFOR	Victory	ZIB	Total
	Khan	General								Insurance	Alliance									Solutions												
Premium Written	96	291	563	662	9,150	2,728	16,338	267	10,669	655	2,524	2,355	3,268	1,309	3	35,332	10,899	1,371	34,892	76,192	6,447	107	972	2,398	67	16	9,757	4,346	17,914	1,539	15,547	268,676
Premium Payable	49	246	494	555	7,746	2,252	14,125	229	8,909	560	2,189	1,884	2,797	1,091	3	29,787	9,656	936	29,544	62,554	5,076	89	870	1,817	56	0	6,615	3,481	15,368	1,316	13,143	223,835
Brokerage Commission	48	45	63	107	1,404	476	2,213	38	1,761	96	336	470	471	218	0	5,544	1,242	435	5,348	13,638	1,371	19	102	581	11	3	3,142	865	2,547	224	2,404	45,220
less Commission paid	0	0	16	0	0	0	127	0	24	0	0	0	6	40	0	1,297	283	0	0	2,851	0	8	43	29	0	0	0	0	27	0	0	4,751
Net Brokerage Commission	48	45	47	107	1,404	476	2,086	38	1,737	96	336	470	465	178	0	4,247	959	435	5,347	10,787	1,371	11	58	553	11	3	3,142	865	2,520	224	2,404	40,469
Other Income	26	0	4	0	81	59	628	819	130	0	95	42	47	0	4	6	14	0	175	15	120	82	172	0	0	0	1,461	174	1,728	253	101	6,235
Admin Expenses	30	59	57	92	1,285	407	899	44	1,641	84	324	58	430	137	4	3,068	1,148	165	3,163	4,549	1,300	88	208	830	10	12	2,392	678	1,487	388	1,692	26,730
Profit Before Tax	43	-14	-6	15	200	128	1,815	813	226	12	107	455	81	41	0	1,185	-176	270	2,359	6,253	191	5	22	-277	1	-10	2,211	360	2,760	89	813	19,973
Taxation	7	0	0	0	24	2	130	0	62	0	27	0	0	2	0	305	-45	0	577	1,610	50	0	1	0	0	0	168	90	648	27	211	3,896
Profit after Tax	37	-14	-7	15	176	126	1,685	813	164	12	79	455	81	39	0	880	-130	270	1,783	4,643	141	5	21	-277	1	-10	2,043	270	2,112	63	602	16,077

Appendix 3B

Statement of Financial Position for Insurance Brokers as at 30 September 2019 (\$'000)

	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	C&Z	Coverlink	Eaton & Youngs	Eureka	Entwide	First Sun Alliance	Glenland	Goldstock	Hostcare	HRB	Hunt Adams	LA Guard	Marsh	Mineva - Risk Solutions	Momentum	Paul Mkhondo	Pepro	Progressive	Rainbow	Revival	SATB	TB	WFOR	Victory	ZIB	Total
Shareholder's Equity																																
Share Capital	100	32	310	20	116	98	0	30	100	50	100	0	50	0	5	0	1	100	5	0	100	20	40	120	15	2	1	50	2	0	50	1,517
Share Premium	-	-	54	68	-	9	1,345	147	-	-	-	428	-	-	-	-	275	-	-	2,116	-	126	-	-	-	-	-	-	803	1,136	-	6,509
Non-Distributable Reserves	-	100	27	12	1,097	259	18	-	82	57	15	2,220	133	244	236	3,307	262	83	412	-	325	28	20	130	-	480	136	27	2,160	-	2,796	14,944
Retained Income	2	8	0	15	695	175	1,117	711	545	562	12	70	294	39	3	3,324	(177)	151	2,616	4,504	237	20	229	(101)	1	-	2,247	175	(545)	63	759	17,753
Shareholder's Equity	102	140	392	115	1,908	542	2,400	888	729	669	126	2,718	478	283	244	6,911	361	333	3,033	6,621	662	194	289	150	16	482	2,384	252	2,419	1,199	3,604	40,723
Current liabilities																																
Payable Premiums	49	193	-	244	1,484	252	-	-	148	339	8	1,435	195	58	-	17,991	834	242	4,428	7,779	331	50	43	1,497	-	-	217	-	13,653	37	1,419	52,926
Other Liabilities	-	-	16	-	2	6	397	84	-	-	5	60	307	52	-	-	220	21	-	-	92	42	1	338	-	10	1,859	-	484	-	159	4,154
Brokers commission payable	-	-	-	-	-	-	20	-	-	-	-	-	-	-	-	549	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Provisions	-	-	-	-	33	-	61	-	-	16	-	-	14	-	-	94	-	-	58	48	-	-	-	-	-	-	-	-	-	-	-	325
Sundry creditors	-	-	-	-	-	-	-	-	-	694	-	-	11	-	-	50	-	-	819	1,913	-	-	-	-	-	-	-	-	1,036	-	-	4,523
Taxation	7	-	-	-	-	-	49	-	11	34	-	-	-	-	-	855	-	-	-	-	-	-	-	-	-	-	-	59	-	-	183	242
Other	-	-	-	-	50	-	-	-	-	55	-	-	27	-	-	6	-	-	1,815	1,663	-	-	-	-	-	-	-	-	-	-	-	3,615
Total Current Liabilities	55	193	16	244	1,569	258	527	84	158	1,138	13	1,495	554	110	-	19,544	1,054	263	7,121	11,403	423	92	44	1,835	-	10	2,076	1,096	-	37	1,761	67,310
TOTAL LIABILITIES & EQUITY	157	332	409	359	3,483	802	3,007	971	887	1,807	140	4,214	1,042	393	246	26,529	1,701	631	10,154	18,023	1,444	286	346	2,466	426	492	8,631	1,348	17,020	1,235	5,369	114,052
Non - Current Assets																																
Property and Equipment	-	65	75	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-	8	88	-	-	-	-	-	70	-	27	-	246
Land & Buildings	75	-	140	-	1,488	318	71	-	-	46	13	2,358	135	332	230	4,000	-	195	150	-	-	12	-	180	400	170	147	-	-	279	3,000	13,823
Furniture and Fittings	11	26	21	14	48	9	55	-	207	2	2	14	11	7	12	32	6	17	17	818	20	3	30	14	6	13	52	-	34	62	32	1,605
Motor Vehicles	11	30	66	20	138	-	57	-	-	0	18	2	18	-	-	251	20	13	53	202	123	3	143	59	15	30	841	-	68	327	26	2,534
Computer Equipment	4	5	9	15	49	11	13	-	-	27	2	6	5	-	-	186	12	26	12	110	11	-	17	5	5	12	36	-	41	48	61	730
Computer Software	3	3	1	0	-	-	5	893	291	-	2	3	5	-	-	-	-	-	0	-	10	69	-	1	-	5	-	-	-	65	-	1,288
Investments	-	-	31	27	159	2	-	-	-	-	100	188	-	-	-	-	-	38	-	-	100	HRF	-	55	-	245	-	-	-	277	235	1,526
Other	-	-	-	-	-	1	25	-	-	19	-	-	-	-	-	65	18	-	-	-	-	-	-	1	-	-	1,177	15	-	100	-	1,419
Total Non- Current Assets	104	130	343	77	1,882	341	227	893	498	94	136	2,570	174	339	244	4,534	56	289	232	1,131	271	174	190	315	426	475	2,254	84	143	1,184	3,354	23,172
Current Assets																																
Commission Receivable	48	45	13	-	-	111	1,749	-	26	-	1	167	-	-	0	16,226	-	-	4,118	-	385	-	-	1,137	-	-	-	-	10,871	11	367	35,276
Premium Receivables	-	-	-	-	-	-	-	-	-	-	-	1,324	254	-	-	-	654	-	-	1,798	-	-	-	-	-	-	3,172	-	-	-	-	7,202
Accrued Investment Income	-	-	24	-	-	-	117	-	-	811	2	-	151	-	-	489	118	-	226	-	353	-	-	-	-	-	-	-	-	8	-	2,298
Other Debtors & Inventory	1	25	12	108	33	31	-	9	29	83	1	-	-	-	-	3,671	102	332	790	736	20	74	5	1,018	-	-	420	124	34	25	93	7,777
Cash & Cash Equivalents	4	131	18	174	1,558	319	914	69	333	856	0	153	463	54	2	1,609	772	10	4,788	14,358	116	38	151	(3)	0	17	2,785	1,139	5,973	8	1,555	38,365
Total Current Assets	53	202	66	282	1,591	461	2,780	78	389	1,750	4	1,644	868	54	2	21,995	1,645	342	9,922	16,892	874	112	156	2,152	0	17	6,378	1,263	16,878	52	2,015	90,917
TOTAL ASSETS	157	332	409	359	3,483	802	3,007	972	887	1,844	140	4,214	1,042	393	246	26,529	1,701	631	10,154	18,023	1,444	286	346	2,466	426	492	8,631	1,348	17,020	1,235	5,369	114,089

Appendix 4A**Statement of Comprehensive Income for Reinsurance Brokers for the nine months ended 30 September 2019 (\$000)**

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Premium Written	5304	4998	0	13891	142676	13828	1079	181776
Premium due to Reinsurers	5054	4780	0	8248	114115	13402	1045	146644
Brokerage Commission	250	218	0	5643	28561	426	34	35132
less Commission paid	0	0	0	5129	24294	0	0	29423
Net Brokerage Commission	250	218	0	514	4267	426	34	5708
Other Income	33	28	68	0	44	0	6	179
Admin Expenses	254	129	58	315	2761	345	40	3902
Profit Before Tax	29	117	10	199	1550	80	(0)	1985
Taxation	0	28	0	37	399	5	(0)	469
Profit/ (Loss) after Tax	29	89	10	162	1151	76	(0)	1516

Appendix 4B

Statement of Financial Position for Reinsurance Brokers as at 30 September 2019 (\$000)

	Afro-Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
LIABILITIES								
Shareholder's Equity								
Share Capital	1	2	150	0	0	1	200	354
Share Premium	266	119	1,350	0	0	70	49	1,853
Non-Distributable Reserves	135	40	1,007	0	0	0	100	1,282
Retained Income	-94	106	-36	349	4,416	405	-70	5,077
shareholder's Equity	308	267	2,470	349	4,416	476	278	8,565
Current liabilities								
Payable Premiums	2,386	2,788	0	4,563	253,839	806	922	265,305
Brokers commision payable	0	0	0	0	0	0	0	0
Provisions	0	4	0	0	1,359	76	0	1,439
Sundry creditors	0	0	0	0	0	42	0	42
Taxation	36	0	0	0	0	0	0	36
Other	138	18	0	1,202	0	81	399	1,839
Total Current Liabilities	2,560	2,810	0	5,765	255,199	1,006	1,321	268,661
TOTAL LIABILITIES & EQUITY	2,876	3,077	2,470	6,114	259,615	1,482	1,599	277,234
Assets								
Non - Current Assets								
Property and Equipment	0	0	0	0	0	31	0	31
Land & Buildings	0	0	2,073	0	0	193	0	2,266
Furniture and Fittings	2	0	145	2	14	26	0	190
Motor Vehicles	0	48	0	0	0	113	0	162
Computer Equipment	1	0	48	0	14	31	0	95
Computer Software	0	0	0	0	0	0	0	0
Investments	252	108	0	0	0	0	623	983
Other	0	0	0	0	0	0	0	0
Total Non- Current Assets	255	157	2,266	2	29	395	624	3,727
Current Assets								
Commission Receivable	0	3	0	668	0	0	0	672
Premium Receivable	2,434	0	0	0	255,619	88		
Accured Investment Income	0	0	0	0	0	0	0	0
Other Debtors & Inventory	21	2,859	35	0	109	249	963	4,237
Cash & Cash Equivalents	166	57	169	5,444	3,858	751	13	10,459
Total Current Assets	2,621	2,920	204	6,113	259,586	1,087	976	273,507
Total Assets	2,876	3,077	2,470	6,114	259,615	1,482	1,599	277,234

Appendix 5

List of registered loss assessors/adjusters as at 30 September 2019

No.	NAME OF ASSESSOR/ADJUSTOR
1	Alpha & Omega Risk Management
2	Autoplan Risk Management
3	AVS Risk Consultants
4	Brilliant Assessors
5	Campbell & Prevost
6	Centurion Insurance and Risk
7	Diverse International Risk Management
8	Fornicle Risk Management
9	Golden Gate Risk and Loss Assessors
10	Guarantee Risk Management
11	Independent Loss Adjusters (Pvt) Ltd
12	Keneg Risk & Loss Consultancy
13	Lane Risk Management
14	Light to Light Loss Adjusters (Pvt) Ltd
15	LM Consultancy (Pvt) Ltd
16	Lycerine Risk Services International
17	Marin Assessors (Pvt) Ltd
18	Markar Loss Assessors
19	Mashonaland Risk Management
20	Milenium Risk Management
21	Mornglows Assessors
22	National Loss Adjusters (Pvt) Limited
23	New Generation Loss Adjusters
24	On Time Assessors (Pvt) Ltd
25	Persam Loss Assessors
26	Platinum Loss Adjusters (Pvt) Ltd
27	Ponnez Risk Management
28	Prefered Loss Assessors
29	Skilled Claim Assessors (Pvt) Limited
30	Smart Risk Management
31	Tripple T Mand Loss Adjusters
32	Tritate Risk Management Consultant
33	Vision Insurance Assessors
34	Wave Risk Management
35	Prestige Loss Adjustors (Pvt)
36	Lagoon Loss Assessors